

Amazon PPC Wiki

Student Handbook

A friendly-mentor handbook for fresh graduates with zero Amazon knowledge. Packed with diagrams, worked examples, comparison tables, pro tips, and strategy callouts. Every section ends with a learning aid, quiz, and one-page handout.

Version 1.0 | Enriched Student Edition | 2024

14 visual diagrams · 25+ comparison tables · 60+ worked examples · 35+ quiz questions

Table of Contents

Welcome	A note from your friendly mentor
Section 1	Foundations & Fundamentals — with Flywheel + Auction diagrams
Section 2	Account & Campaign Architecture — with Hierarchy diagram + structure templates
Section 3	Campaign Types — with Funnel diagram + budget allocation chart
Section 4	Targeting & Match Types — with Venn diagram + harvesting pipeline
Section 5	Keyword Research & Search Term Mining — with tool comparison
Section 6	Bidding Strategies — with Decision Tree + calculation examples
Section 7	Budget Management — with Seasonal Scaling timeline
Section 8	Placements — with TOS/ROS/PDP comparison chart
Section 9	Negative Keywords — with weekly workflow diagram
Appendix A	Metrics Deep-Dive — with ACOS vs TACOS chart
Appendix B	Lifecycle Strategy — with 90-day ACOS curve
Appendix C	Cross-Channel Strategy — with attribution diagram
Appendix D	Glossary & Acronyms — 60+ terms
Appendix E	Formulas & Calculators — 12 formulas with worked examples
Appendix F	Cheat Sheets — Quick reference cards

Welcome

Hey there. If you're reading this, you're probably a fresh graduate who just got hired into an Amazon PPC role - or you're considering one. Either way, welcome. This handbook is written for you.

Amazon PPC has a reputation for being complicated. It is - but only because no one explains it well. Most training material is either too shallow (blog posts that say 'use Auto campaigns!') or too deep (500-page textbooks that assume you already know everything). This handbook sits in the middle: deep enough to make you useful, shallow enough to actually finish.

Here's what makes this handbook different: every concept comes with a diagram or table, every section has at least 2 worked examples with real numbers, every chapter ends with a quiz so you can check your understanding, and every page is written in plain English - not consultant-speak.

PRO TIP

Don't read this handbook cover-to-cover in one sitting. Read one section, take the quiz, sleep on it, then move to the next. PPC concepts compound - if you rush, you'll miss the foundation and everything later will feel shaky.

STRATEGY

Use this handbook alongside a real Amazon Ads account. Reading about Sponsored Products is one thing; opening the console and clicking through Campaign Manager while you read is another. If you don't have account access yet, ask your manager for a sandbox or watch over a colleague's shoulder. Theory + practice = retention.

1 Foundations & Fundamentals

This is where it all begins. Before you can touch a campaign, you need to understand what Amazon PPC actually is, where it sits in the broader Amazon ecosystem, and the basic vocabulary every strategist uses. Read this section slowly. The concepts here get referenced in every other section.

The Amazon Flywheel: How PPC Drives Long-Term Growth



Figure 1.1: The Amazon Flywheel — PPC drives traffic, traffic drives sales, sales drive organic rank, and rank drives more traffic. The wheel spins faster as each piece feeds the next.

1.1 What is Amazon PPC

Where it sits in the Amazon Flywheel

Amazon PPC (pay-per-click advertising) is one piece of a four-part flywheel: advertising drives traffic, traffic drives sales, sales drive organic ranking, and organic ranking drives more traffic. Picture the flywheel as a wheel that spins faster as each piece feeds the next. When you launch a new product with no reviews and no organic rank, PPC is the only thing that puts eyes on your listing. Once PPC drives enough sales, Amazon's algorithm starts ranking your product organically for those search terms. As organic rank improves, you can shift some PPC budget toward new keywords - the flywheel keeps spinning.

Auction-based model (second-price auction)

Amazon runs a second-price auction. That means you don't pay your full bid - you pay one cent more than the next highest bidder. If you bid \$1.50 and the next bidder bid \$0.80, you win the auction and pay \$0.81. This is important because it means bidding high is relatively safe: you only pay what's needed to win, not your full bid. The catch is that Amazon also factors in relevance (click-through rate, conversion rate, listing quality) so the highest bidder doesn't always win.

How Amazon's Second-Price Auction Works



Figure 1.2: Second-Price Auction — You bid \$1.50, next bidder bid \$1.00, you pay only \$1.01 per click. Bidding high is safe because you never pay your full bid.

EXAMPLE

Imagine three sellers competing for the keyword 'yoga mat'. Seller A bids \$1.50, Seller B bids \$1.00, Seller C bids \$0.75. Seller A wins the top slot. If a shopper clicks, Seller A pays \$1.01 (one cent above Seller B's bid), not \$1.50.

STRATEGY

Because of second-price logic, bid your TRUE VALUE (what a click is worth to you based on CVR and margin), not what you think will win. Bidding below your true value means losing auctions you'd profitably win. Bidding above means you might win unprofitable auctions - but only if the second bidder is also high, which is rare.

PPC vs. DSP vs. organic

PPC (Sponsored Products, Brands, Display) appears inside Amazon search results and on product detail pages. DSP (Demand Side Platform) appears on Amazon-owned sites (IMDb, Twitch) and across the open web via Amazon's ad network. Organic ranking is the unpaid listing position determined by Amazon's algorithm. PPC drives immediate traffic, DSP builds awareness and retargets, and organic is the long-term dividend of doing both well. A healthy account uses all three.

1.2 The Amazon Advertising Ecosystem

Channel	Where It Shows	Pricing	Best For
Sponsored Products (SP)	Amazon search results + product pages	CPC	Direct conversion, mid-funnel
Sponsored Brands (SB)	Top of Amazon search	CPC	Brand awareness, defense
Sponsored Display (SD)	On/off Amazon, audience-based	CPC or CPM	Remarketing, conquering
Sponsored TV (STV)	Prime Video, Freevee, Twitch	CPM	Broad awareness (mature brands)
Amazon DSP	On/off Amazon, all formats	CPM	Full-funnel, retargeting at scale
Organic	Search results (unpaid)	Free	Long-term dividend of PPC + reviews

Account types: Individual, Agency, Brand-owned, Managed

An Individual account is owned by a single seller. An Agency account can manage multiple client accounts from one login. A Brand-owned account is tied to a brand owner with Brand Registry. A Managed account (also called an Amazon-managed account) is one where an Amazon account manager handles strategy and execution for a fee - usually reserved for large advertisers. The distinction matters because some features (like Sponsored TV or DSP self-service) are gated by account type and spend history.

1.3 Core Terminology Primer

The metrics you'll see every day

Metric	Formula	Healthy Range (SP)	What It Tells You
Impressions	Count of ad shows	Varies	Reach, visibility
Clicks	Count of clicks	Varies	Traffic volume
CTR	Clicks / Impressions	0.3-0.5% ROS, 1-3% TOS	Ad appeal, relevance
CPC	Spend / Clicks	\$0.20-\$3.00+ by category	Cost efficiency
CVR	Orders / Clicks	8-15% mature, 3-8% new	Listing quality
ACOS	Ad Spend / Ad Sales	15-30% by category	Ad efficiency
TACOS	Ad Spend / Total Sales	5-15%	True profitability
ROAS	Ad Sales / Ad Spend (= 1/ACOS)	3-7x	Finance-friendly framing

EXAMPLE

Monthly: \$5,000 ad spend, \$25,000 ad-attributed sales, \$40,000 organic sales. $ACOS = 5000/25000 = 20\%$. $TACOS = 5000/(25000+40000) = 7.7\%$. $ROAS = 25000/5000 = 5x$. A 20% ACOS looks mediocre but the 7.7% TACOS shows the campaign is highly profitable when organic halo is included.

Campaign vs. Ad Group vs. Ad vs. Keyword/Target hierarchy

Amazon's ad structure is a four-level hierarchy. At the top is the Campaign (where you set budget, bidding strategy, and dates). Inside a campaign are one or more Ad Groups (where you group related ads and set default bids). Inside an ad group are Ads (the actual creative - a product card with image, title, price). And inside an ad group are Keywords or Targets (what triggers the ad to show). One campaign can contain many ad groups, one ad group can contain many keywords, and one keyword triggers many ads. Getting this hierarchy wrong is the #1 cause of messy accounts.

Campaign Hierarchy: Four-Level Structure

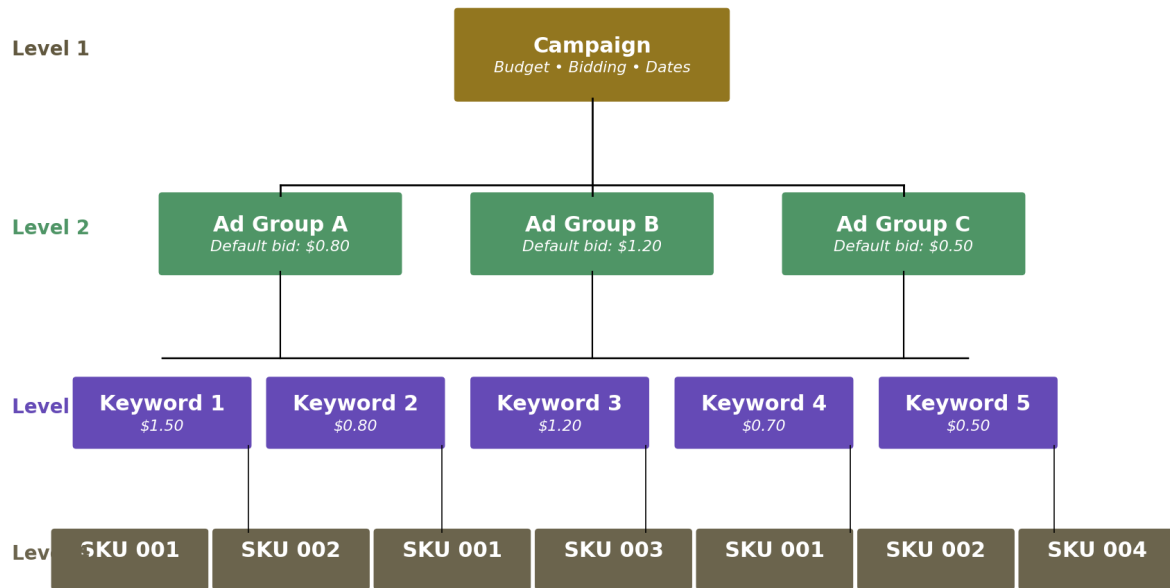


Figure 1.3: Campaign Hierarchy — One campaign contains multiple ad groups, each ad group contains keywords with their own bids, and each keyword can trigger multiple SKU ads. Understanding this tree prevents the #1 account-mess cause.

1.4 Eligibility & Prerequisites

Requirement	What It Gates	How to Get It
Buy Box ownership	Sponsored Products (all types)	Win the Buy Box by being competitively priced, in stock, with fast shipping
Brand Registry (active trademark)	SB, SD custom creative, Brand Store, A+ Content	Register at brandregistry.amazon.com with USPTO number; 1-3 week approval
Account in good standing	All ad types	Keep ODR <1%, Late Shipment Rate <4%, Cancellation Rate <2.5%
Category Approval (some categories)	Ads in supplements, CBD, baby, medical, etc.	Submit docs (lab tests, certifications) in Seller Central; 2-6 week approval
Spend history + Brand Registry	Sponsored TV, DSP Self-Service	Build 6+ months of clean spend history first

COMMON MISTAKE

Lost Buy Box is the #1 cause of ads suddenly stopping. If your Sponsored Products ads stop spending, check Buy Box status FIRST before adjusting bids or budget. A competitor undercutting your price by \$0.50 can steal the Buy Box and silently kill your ads.

1.5 Learning Aid

Key Terms

- **Second-price auction:** You pay one cent more than the next highest bidder, not your full bid.
- **Buy Box:** The white Add to Cart box on a product page; you must own it to run Sponsored Products.
- **Brand Registry:** Amazon's program requiring an active trademark; gates SB, SD, and Stores access.
- **Flywheel:** The self-reinforcing loop: ads drive sales, sales drive organic rank, rank drives more sales.
- **ACOS:** Ad spend / ad sales. Measures efficiency against ad-attributed sales only.
- **TACOS:** Ad spend / total sales (ad + organic). More holistic than ACOS.

COMMON MISTAKE

New strategists assume the highest bid always wins. It does not - Amazon weighs relevance (CTR, CVR) heavily, so a lower bid on a better-converting listing can outrank a higher bid on a weak listing.

EXAMPLE

You sell a \$29.99 yoga mat. You bid \$1.20 on 'yoga mat'. The next bidder bid \$0.90. You win the auction and pay \$0.91 per click. If your CVR is 12% (1 order per ~8 clicks), your cost per order is roughly \$7.28. Your ACOS on that order is $\$7.28 / \$29.99 = 24.3\%$.

1.6 Quiz: Test Your Understanding

Q1. [Foundational] In a second-price auction with your bid at \$1.50 and the next bid at \$0.80, how much do you pay per click?

- A. \$1.50
- B. \$0.80
- C. \$0.81
- D. \$1.15

Q2. [Foundational] Which condition must be true to run Sponsored Products?

- A. You must have Brand Registry
- B. You must own the Buy Box
- C. You must have 100+ reviews
- D. You must be Vendor Central

Q3. [Applied] What is the relationship between ACOS and ROAS?

- A. They are the same thing
- B. ROAS is the inverse of ACOS
- C. $ROAS = ACOS \times 100$
- D. They are unrelated

Q4. [Applied] A new product has zero reviews and no organic rank. Which channel is the ONLY one that can put eyes on the listing initially?

- A. Organic search
- B. PPC
- C. Brand Store traffic
- D. External backlinks

Q5. [Advanced] Your Sponsored Products ads suddenly stopped spending. What is the FIRST thing to check?

- A. Bid amount
- B. Campaign budget
- C. Buy Box ownership
- D. Keyword match type

ANSWER KEY

Q1: C (\$0.81 - one cent above next bid). Q2: B (Buy Box). Q3: B ($ROAS = 1/ACOS$). Q4: B (PPC - without reviews/rank, organic won't surface). Q5: C (Buy Box loss is #1 cause).

1.7 Handout Summary

DEFINITION

Amazon PPC is a pay-per-click advertising system using a second-price auction where relevance (CTR/CVR) and bid together determine ad placement. It is one of three traffic channels (PPC, DSP, organic) that together form the Amazon flywheel.

KEY FORMULA

Effective Cost Per Click = Next Highest Bid + \$0.01 (in a second-price auction). $ACOS = \text{Ad Spend} / \text{Ad Sales}$. $TACOS = \text{Ad Spend} / \text{Total Sales}$.

On-the-Job Checklist

- I can define impressions, clicks, CTR, CVR, ACOS, TACOS, ROAS in one sentence each.
- I can draw the campaign > ad group > ad > keyword hierarchy from memory.
- I know that Buy Box loss is the first thing to check when ads stop spending.
- I know that Brand Registry is required for SB, SD, and Stores (not SP).

KEY TAKEAWAY

PPC is the spark that starts the flywheel. Once the flywheel is spinning, organic sales become the dominant driver and PPC becomes the optimization layer. Don't optimize PPC in isolation - always check TACOS, not just ACOS.

2 Account & Campaign Architecture

Architecture is the skeleton of your advertising. Get it wrong and every optimization becomes 10x harder. Get it right and your account runs cleanly for years. This section is unglamorous but critical - read it twice.

2.1 Account Structure Philosophy

Single vs. multi-account strategy

Most beginners run everything from one Seller Central account. That works until you have multiple brands under one LLC, or you start an agency managing multiple clients. At that point, splitting into multiple accounts makes sense because: (1) it isolates risk - a policy violation on one brand doesn't kill all your brands; (2) it simplifies reporting - each brand has its own P&L; (3) it enables different agency structures per brand. The downside is more logins and more overhead.

STRATEGY

Rule of thumb: split when you have more than 2 distinct brands OR when a single brand exceeds ~\$500K/year in ad spend. Below that, one account with portfolio grouping is fine.

Naming convention systems

Your naming convention is the single most important documentation choice you'll make. A good convention encodes: brand, product line, match type, campaign purpose (launch/defense/scaling/harvesting), and year. Example: **YogaMat-Premium-Exact-Defense-2024**. From that name alone, anyone can tell what the campaign does without opening it.

Naming Segment	What It Encodes	Example Values
Brand/Product line	Which brand or product line	YogaMat, Headphones, Serum
Match type	Auto / Broad / Phrase / Exact	Auto, Broad, Phrase, Exact
Purpose	Why the campaign exists	Launch, Defense, Scaling, Harvesting
Year	When created (for deprecation)	2023, 2024, 2025

EXAMPLE

YogaMat-Premium-Exact-Defense-2024 = yoga mat brand, premium line, Exact match, defense campaign (targeting own brand terms), created in 2024. Anyone on the team instantly knows what this is.

2.2 Campaign Structuring Models

Match-type-segmented structure (the professional default)

The most common professional structure is match-type-segmented: one campaign for Exact match keywords (high-converting, defense), one for Phrase match (discovery + scale), one for Broad match (raw discovery), and one for Auto (Amazon's algorithm picks targets). This segmentation lets you set different bids and budgets per match type - Exact gets the highest bids because those keywords convert best, Broad gets lower bids because it's exploratory.

Campaign	Match Type	Typical Bid	Typical Budget	Purpose
Brand-Auto-Discovery-2024	Auto (4 sub-types)	\$0.30	\$15/day	Discovery engine
Brand-Broad-Discovery-2024	Broad	\$0.40	\$20/day	Expanded discovery
Brand-Phrase-Scaling-2024	Phrase	\$0.70	\$30/day	Mid-funnel scale
Brand-Exact-Defense-2024	Exact	\$1.20	\$50/day	Convert + defend

EXAMPLE

For a yoga mat brand, you might have: 'YogaMat-Exact-2024' (15 keywords, \$50/day budget, \$1.20 bids), 'YogaMat-Phrase-2024' (30 keywords, \$30/day, \$0.70 bids), 'YogaMat-Broad-2024' (10 keywords, \$20/day, \$0.40 bids), and 'YogaMat-Auto-2024' (4 match types, \$15/day, \$0.30 bids). Total: \$115/day.

Defense vs. Offense campaigns

Type	Targets	Typical ACOS	Budget %
Defense	Your own brand name + product names	Under 5%	10-15%
Offense	Competitor brand names + ASINs	30-50%	20-30%
Generic	Category keywords (non-branded)	15-25%	50-60%
Harvesting	Pipeline for promoting winners	10-20%	5-10%

STRATEGY

Always run a Brand Defense campaign once you have brand search volume. Competitors WILL bid on your brand name - if you don't defend, they steal your highest-intent traffic at low ACOS for themselves. Defense campaigns typically run at 3-5% ACOS because shoppers searching your brand are already sold.

2.3 Ad Group Best Practices

One-theme-per-ad-group principle

An ad group should contain keywords that share a single theme - same search intent, similar CVR, similar CPC. If you mix 'yoga mat' (intent: buy a mat) with 'yoga class' (intent: find a class) in one ad group, you'll have to set one bid that doesn't fit either well. Splitting them into separate ad groups lets you bid appropriately for each intent.

SKAGs (Single Keyword Ad Groups) — pros/cons

Aspect	SKAGs	Multi-Keyword Ad Groups
Control	Maximum - one bid per keyword	Shared default bid, overrides per keyword
Reporting clarity	Clean - one keyword per ad group	Mixed - need to filter
Management overhead	High - 100 keywords = 100 ad groups	Low - 5-10 ad groups
When to use	Top 5-10 hero keywords only	Most campaigns

2.4 Portfolio & Budget Grouping

Portfolio budget caps

A portfolio can have a budget cap - a hard ceiling on total daily spend across all campaigns inside. This is useful when a brand has a fixed monthly ad budget and you need to prevent overspend. Set the cap at $(\text{monthly budget} / 30 \text{ days}) \times 1.1$ (10% buffer for daily variance). Without the buffer, you'll hit the cap on high-traffic days and miss sales.

EXAMPLE

Monthly budget: \$3,000. Portfolio daily cap = $(\$3,000 / 30) \times 1.1 = \$100 \times 1.1 = \$110/\text{day}$. The 10% buffer prevents hitting the cap on high-traffic days and missing sales.

2.5 Learning Aid

- **Portfolio:** A grouping of campaigns used for budget caps and reporting rollup.
- **Match-type-segmented:** Campaign structure where Exact, Phrase, Broad, and Auto each get their own campaign.
- **SKAG:** Single Keyword Ad Group - one keyword per ad group for maximum control.
- **Defense campaign:** Campaign targeting your own brand terms to prevent competitor conquest.

COMMON MISTAKE

Putting all match types in one campaign. This makes bid management impossible because Exact needs higher bids than Broad, but they share a default bid.

2.6 Quiz

Q1. [Applied] You have 3 brands under one LLC. When should you split into multiple Amazon accounts?

- A. Never - one account is always best
- B. When you have 2+ distinct brands or one brand exceeds ~\$500K/year in ad spend
- C. Only when Amazon requires it
- D. Always split immediately

Q2. [Foundational] What does the naming convention "YogaMat-Premium-Exact-Defense-2024" tell you?

- A. Brand, product line, match type, purpose, year
- B. Brand, SKU, price, category, year
- C. Brand, color, size, material, year
- D. Brand, agency, region, channel, year

Q3. [Applied] Why segment campaigns by match type?

- A. Amazon requires it
- B. Each match type needs different bids and budgets because conversion rates differ
- C. It's the only way to get reports
- D. To reduce campaign count

Q4. [Applied] You see your ad group default bid is \$0.80 but a keyword inside is spending at \$1.50. Why?

- A. Amazon raised the bid automatically
- B. The keyword has a keyword-level bid override set to \$1.50
- C. The campaign budget was too high
- D. Dynamic bidding up/down is on

Q5. [Advanced] Why use SKAGs (Single Keyword Ad Groups)?

- A. To reduce campaign count
- B. To get maximum bid control and clean search term data per keyword
- C. Because Amazon requires them
- D. To automate bidding

ANSWER KEY

Q1: B. Q2: A. Q3: B (Exact converts 2-4x Broad rate, deserves higher bids). Q4: B (keyword overrides beat ad group defaults). Q5: B (max control for top keywords only).

2.7 Handout Summary

DEFINITION

Account architecture is the hierarchical structure of campaigns, ad groups, and keywords. Good architecture enables clean reporting, accurate bid management, and easy scaling. The most common professional structure is match-type-segmented.

KEY FORMULA

Portfolio daily cap = (Monthly budget / 30) x 1.1 (10% daily variance buffer)

On-the-Job Checklist

- I can explain the difference between SKU-level and category-level campaigns.
- I know when to use SKAGs vs. multi-keyword ad groups.
- I can identify whether a campaign is Defense or Offense from its name.
- I know how to set a portfolio budget cap and why the 10% buffer matters.

KEY TAKEAWAY

Architecture is hard to change later. Spend the first week of any new account getting the structure right - it pays dividends for years. Bad architecture creates 10x more work in optimization.

3 Campaign Types (Deep Dive Per Type)

Amazon offers four main ad types plus DSP. Each has a different purpose, different placement, and different eligibility. This section is the deep dive - by the end, you'll know which ad type to use when.



Figure 3.1: Full-Funnel Strategy — Each ad type has a job. SD/DSP build awareness, SP/SB drive consideration, SP Exact closes conversion, SD retargets post-purchase. Using the wrong ad type for the job wastes money.

3.1 Sponsored Products (SP)

Auto campaigns

Auto campaigns let Amazon's algorithm pick where to show your ads based on your listing content (title, bullets, backend keywords). Amazon splits Auto into four match types: Close Match (search terms closely related to your product), Loose Match (broader related terms), Substitutes (competitor product pages), and Complements (products often bought together with yours). Each can be enabled individually and bid separately. Auto is your discovery engine - run it always, mine the search term report weekly, and harvest winners to manual campaigns.

Auto Match Type	What It Targets	Typical CVR	Typical CPC
Close Match	Search terms closely related to your product	8-15%	\$0.50-\$1.20
Loose Match	Broader related terms	3-8%	\$0.30-\$0.70
Substitutes	Shoppers viewing competitor product pages	5-10%	\$0.40-\$0.90
Complements	Products often bought with yours	4-8%	\$0.30-\$0.60

Manual campaigns

Manual campaigns give you control. You pick the keywords (Keyword targeting) or ASINs/categories (Product/Category targeting). Keyword targeting is the workhorse - you bid on specific search terms. Product targeting puts your ad on specific product detail pages. Category targeting puts your ad across a whole category with refinements like price range or star rating. Most accounts spend 70-80% of budget in Manual.

Bidding strategies

Strategy	What Amazon Does	When to Use	Risk
Fixed bids	Uses your exact bid, no adjustments	New campaigns (first 2-4 weeks)	None - predictable
Dynamic down only	Lowers bid up to 100% for low-CVR placements	Most mature campaigns	Low - never overpays
Dynamic up and down	Raises bid up to 100% for TOS, lowers for poor placements	High-CVR campaigns only	High - can 2x CPC

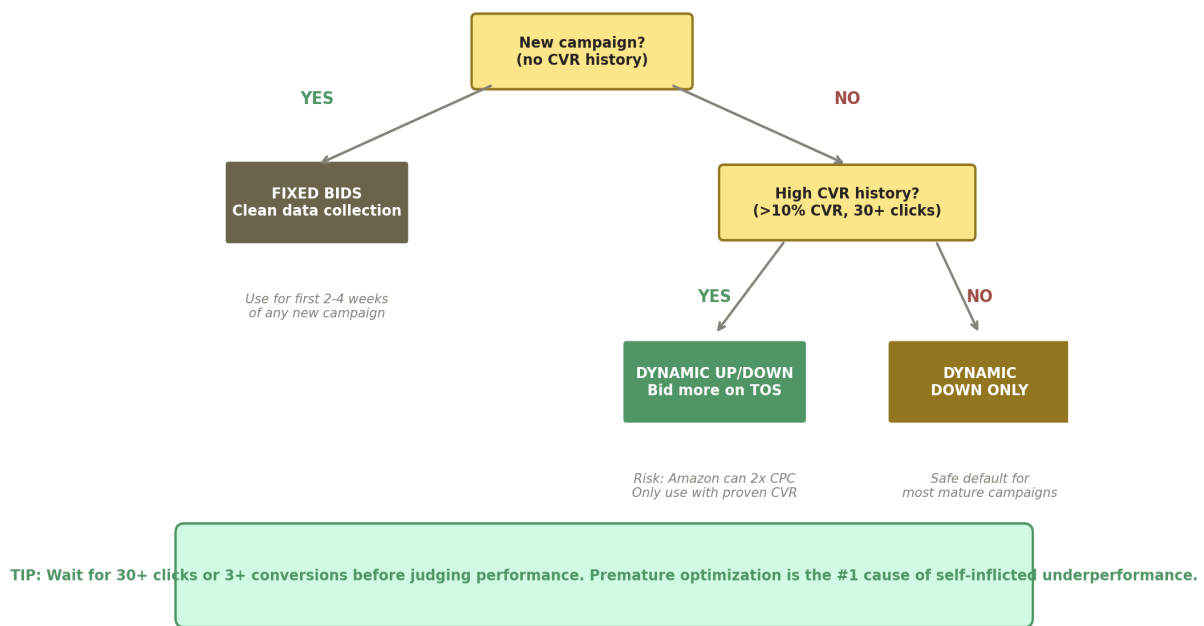
Bidding Strategy Decision Tree: Pick the Right Strategy

Figure 3.2: Bidding Strategy Decision Tree — New campaign? Use Fixed. Mature with proven CVR? Dynamic up/down. Otherwise Dynamic down only. Never use Dynamic up/down without CVR history - it overspends.

COMMON MISTAKE

Using Dynamic bids up/down on a new campaign with no CVR history. Amazon has no data to optimize with, so it often overspends on placements that don't convert. Always start new campaigns on Fixed bids, switch to Dynamic down only after 2-4 weeks of data.

Placement modifiers

On top of bidding strategy, you can apply placement modifiers: Top of Search (up to 900% bid boost), Rest of Search (no boost allowed), and Product Pages (up to 900% boost). If your bid is \$1.00 and you set Top of Search modifier at +50%, Amazon will bid up to \$1.50 when competing for Top of Search placement. Placement modifiers are the single biggest lever for getting your ad to page 1.

EXAMPLE

Your Exact campaign has \$1.00 base bid. You set TOS modifier +50% and PDP modifier +25%. When competing for TOS, Amazon can bid up to \$1.50. When competing for PDP, up to \$1.25. For ROS, still \$1.00. You still pay second-price, so actual CPC = min(effective bid, next bid + \$0.01).

3.2 Sponsored Brands (SB)

Ad formats

Format	What It Shows	Best For
Product collection	3+ products from your catalog	Cross-sell, multi-product campaigns
Store spotlight	Drives traffic to Brand Store section	Brand awareness, storytelling
Video ads	6-15 second auto-play video	Attention, demonstration

Headline best practices

Your custom headline (up to 50 characters) is the most important creative element. Lead with a benefit, not a feature: 'Breathe Easy With Our Hypoallergenic Yoga Mats' beats 'Yoga Mats For Sale'. Include your brand name when possible. Avoid all caps, exclamation marks, and unsupported claims.

Bad Headline	Why It Fails	Better Headline
YOGA MATS FOR SALE!!!	All caps, exclamation, no benefit	Breathe Easy With Hypoallergenic Yoga Mats
Best yoga mat on Amazon	Unverified superiority claim	Premium Yoga Mats Trusted by 10,000 Yogis
Cheap yoga mats	Competes on price, low-quality signal	Durable Yoga Mats That Last for Years

3.3 Sponsored Display (SD)

Audience targeting options

Audience	Who It Targets	Typical CVR	Use Case
Remarketing (views)	Shoppers who viewed your PDP, 7-90 days	8-15%	Cart abandonment recovery
In-market	Shoppers actively researching a category	3-7%	Prospecting
Lifestyle	Shoppers whose purchases suggest a lifestyle	4-8%	Awareness, lookalike
Lookalike	Shoppers similar to your seed audience	2-5%	Cold prospecting at scale
Purchases remarketing	Shoppers who already bought from you	15-25%	Cross-sell, repeat purchase

STRATEGY

Always run a Views Remarketing SD campaign once you have product page views (usually 2-4 weeks after launch). These shoppers have 5-10x higher CVR than cold traffic - they already showed intent by viewing your product. Easy win.

3.4 Sponsored TV (STV)

Aspect	Spec
Eligibility	Brand Registry + ~\$50K minimum spend (lowering)
Creative length	15 or 30 seconds
Aspect ratio	16:9
Format	MP4 or MOV, broadcast quality
Production cost	\$10K-\$50K per spot (separate from media)
Lead time	4+ weeks for creative approval
Inventory	Prime Video, Freevee, Twitch, Fire TV apps

3.5 Cross-Campaign-Type Strategy

Budget allocation ratios by brand maturity

Budget Allocation Shifts as Brand Matures

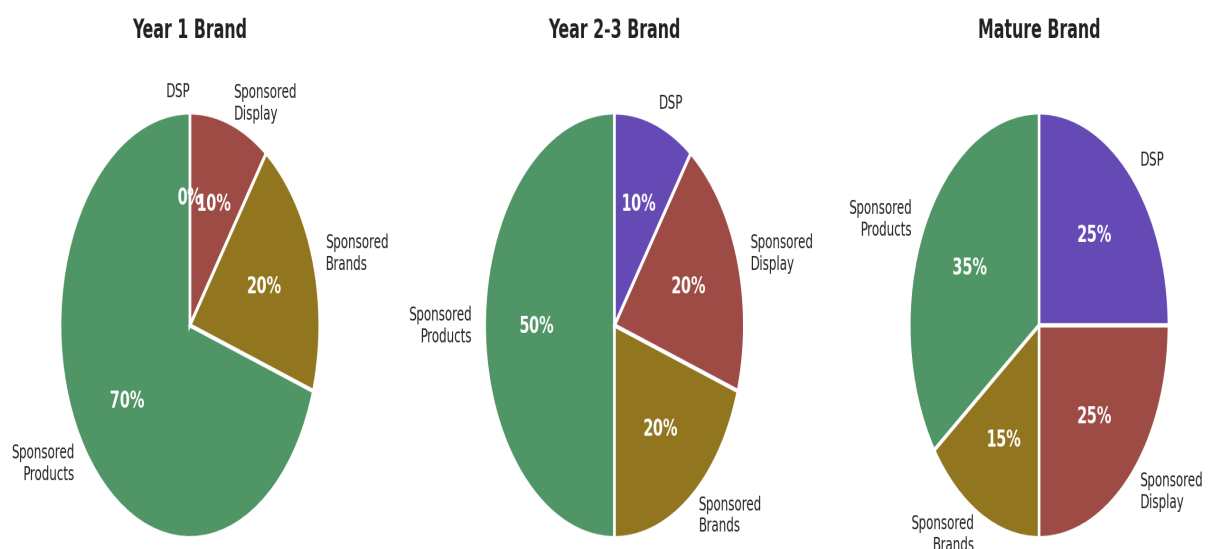


Figure 3.3: Budget Allocation by Maturity — Year 1 brands need 70% SP for direct conversion. Mature brands shift toward SD/DSP for awareness and retargeting. Don't add DSP in Year 1 - SP foundation must

come first.

Brand Stage	SP	SB	SD	DSP	Total
Year 1 (launch)	70%	20%	10%	0%	\$5K-\$30K/mo
Year 2-3 (growth)	50%	20%	20%	10%	\$30K-\$100K/mo
Year 3+ (mature)	35%	15%	25%	25%	\$100K+/mo

STRATEGY

Don't add DSP until SP foundation is profitable. DSP is upper-funnel and won't convert without SP to close the sale. Typical sequence: Month 1-6 = SP only. Month 6-12 = add SB, SD. Year 2+ = consider DSP. Premature DSP = wasted budget.

3.6 Learning Aid

- **Auto campaign:** SP campaign where Amazon picks targets based on your listing content; 4 match types.
- **Sponsored Brands (SB):** Top-of-search ads with brand logo, custom headline; requires Brand Registry.
- **Sponsored Display (SD):** Display network ads with audience and contextual targeting.
- **Placement modifier:** Bid boost (up to 900%) for Top of Search or Product Pages placements.

COMMON MISTAKE

Setting TOS modifier at +900% (max) on day 1 of a new campaign. Without CVR history, Amazon can't optimize and you may overpay massively. Start at +25%, observe for a week, then tune.

3.7 Quiz

Q1. [Foundational] Which Auto campaign match type shows your ad on competitor product pages?

- A. Close Match
- B. Loose Match
- C. Substitutes
- D. Complements

Q2. [Applied] When should you use Dynamic bids up and down?

- A. On new campaigns with no history
- B. On campaigns with strong CVR history
- C. Never

- D. Only on Auto campaigns

Q3. [Applied] What does a Top of Search placement modifier of +50% do to a \$1.00 bid?

- A. Always charges \$1.50 per click
- B. Allows Amazon to bid up to \$1.50 when competing for Top of Search placement
- C. Charges \$1.00 plus 50% fee
- D. Doubles the bid to \$2.00

Q4. [Foundational] What is required to run Sponsored Brands?

- A. 100+ reviews
- B. Brand Registry with an active trademark
- C. Vendor Central account
- D. \$50K monthly ad spend

Q5. [Advanced] A new brand in year 1 should allocate roughly what % of budget to Sponsored Products?

- A. 30%
- B. 50%
- C. 70%
- D. 90%

ANSWER KEY

Q1: C (Substitutes). Q2: B (strong CVR history). Q3: B (ceiling, not fixed price). Q4: B (Brand Registry). Q5: C (70% - Year 1 needs SP for direct conversion).

3.8 Handout Summary

DEFINITION

Amazon has four main ad types: Sponsored Products (search-based, no Brand Registry needed), Sponsored Brands (top-of-search brand ads), Sponsored Display (display network with audience targeting), and Sponsored TV (streaming TV video ads). DSP is a separate platform for cross-web display/video/audio.

KEY FORMULA

Effective bid with placement modifier = base bid x (1 + modifier%). You still pay second-price, so actual CPC = min(effective bid, next bid + \$0.01).

On-the-Job Checklist

- I can name the four Auto match types and what each targets.
- I know which bidding strategy to use for new vs. mature campaigns.
- I know what placement modifiers do and the maximum allowed boost (900%).

- I know that Brand Registry is required for SB and SD custom creative.

KEY TAKEAWAY

Each ad type has a job. SP closes sales, SB defends brand, SD retargets, DSP builds awareness. Don't ask one ad type to do another's job - it wastes money. Full-funnel = all four working together.

4 Targeting & Match Types

Match types control how closely a shopper's search must match your keyword for your ad to show. Get this wrong and you'll either waste spend on irrelevant searches (Broad too loose) or miss scale opportunities (Exact too tight). This is one of the most-tested concepts in the certification exam - learn it cold.

Keyword Match Types: Broad → Phrase → Exact

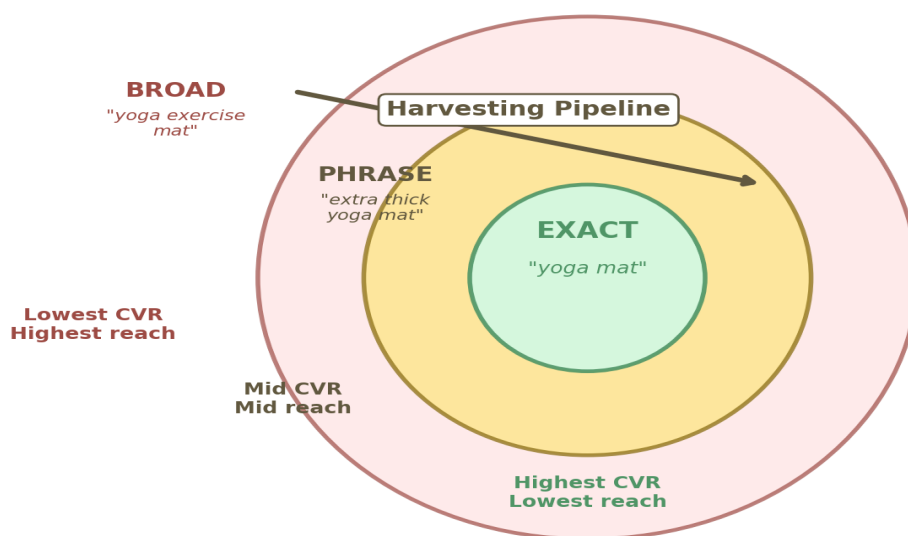


Figure 4.1: Match Type Venn Diagram — Broad contains Phrase contains Exact. Broad has highest reach but lowest CVR. Exact has lowest reach but highest CVR. The harvesting pipeline promotes winners from loose to tight.

4.1 Keyword Match Types

Match Type	Trigger Example (keyword: "yoga mat")	Reach	CVR	CPC
Broad	"thick yoga mat", "mat for yoga", "exercise mat yoga"	Highest	Lowest	Lowest
Phrase	"extra thick yoga mat", "yoga mat for beginners"	Mid	Mid	Mid
Exact	"yoga mat", "yoga mats"	Lowest	Highest	Highest

Broad match — mechanics, risk profile, when to use

Broad match triggers your ad when a shopper searches your keyword in any order, plus related terms. If you bid on 'yoga mat' Broad, your ad can show for 'thick yoga mat', 'mat for yoga practice', 'exercise mat yoga', and even 'pilates mat' (Amazon's discretion). Broad is the loosest match type - highest reach, highest irrelevance risk. Use it for discovery in Broad campaigns, and always pair it with a strong negative keyword list.

Phrase match — mechanics, use cases

Phrase match triggers when a shopper searches your keyword in the exact order, but with words before or after. If you bid on 'yoga mat' Phrase, your ad can show for 'extra thick yoga mat', 'yoga mat for beginners', 'best yoga mat 2024'. It will NOT show for 'mat for yoga' (wrong order). Phrase is the middle ground - more controlled than Broad, more flexible than Exact.

Exact match — mechanics, use cases

Exact match triggers only when a shopper searches your keyword with no extra words (Amazon does allow minor variations like plurals and close misspellings). If you bid on 'yoga mat' Exact, your ad shows for 'yoga mat' and 'yoga mats' but not 'thick yoga mat'. Exact has the highest CVR and lowest wasted spend. Use it for proven converters harvested from Broad/Phrase/Auto.

Match type migration strategy (harvesting pipeline)

Keyword Harvesting Pipeline: From Discovery to Scale

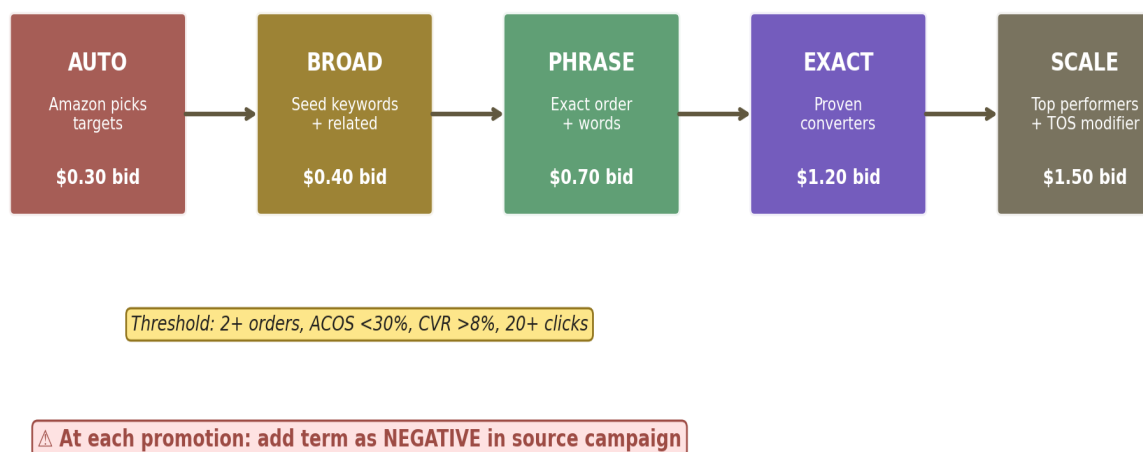


Figure 4.2: Keyword Harvesting Pipeline — Discovery starts loose (Auto, \$0.30) and gets tighter as terms prove themselves, ending in Exact (\$1.20) or Scale (\$1.50 + TOS modifier). At each promotion, add the term as **NEGATIVE** in source campaign to prevent cannibalization.

STRATEGY

Harvesting thresholds: 2+ orders in 30 days AND ACOS <30% AND CVR >8% AND 20+ clicks. If a term hits all four, promote. If it hits one or two, watch for another 2 weeks. If it doesn't convert after 30 clicks, add as negative.

4.2 Product Targeting

ASIN targeting

Target	What It Does	When to Use
Own ASINs	Shows your ad on your own product pages	Cross-sell Product B to Product A viewers
Competitor ASINs	Shows your ad on competitor pages	Conquesting - steal competitor traffic
Category with refinements	Shows across entire category	Broad reach with price/rating filters

EXAMPLE

You sell a premium \$89 yoga mat. Target competitor ASINs for mats priced \$40-\$60. Shoppers viewing cheaper mats see your premium ad. If your CVR on conquering is 4% and CPC is \$0.80, your cost per conquest order is \$20 - profitable if your margin per order is \$40+.

Category targeting with refinements

Category targeting puts your ad across an entire Amazon category (e.g., 'all yoga mats'). Refinements let you narrow: price range (target products priced higher than yours, so shoppers see a cheaper alternative), brand (target specific competitor brands), star rating (target products with fewer than 4 stars, so your 4.5-star product stands out), Prime eligibility. Refinements turn a blunt instrument into a precise one.

Competitor conquering — tactics and ethics

COMMON MISTAKE

Don't use competitor trademarks in your ad copy. 'Better than Brand X' gets rejected. Don't make false comparison claims. Don't create ads that impersonate the competitor. The line is competing with vs. deceiving shoppers. When in doubt: would Amazon's reviewer understand this is a competitor ad, not the competitor itself?

4.3 Audience Targeting (SD/DSP)

Amazon-exclusive audience signals

Amazon's biggest advantage over Google/Meta is its first-party purchase data. Amazon knows what shoppers actually bought, not just what they clicked on. This means audience targeting can be based on actual purchase behavior ('shoppers who bought yoga mats in the last 90 days') rather than inferred interest. Use these signals for SD and DSP campaigns to find lookalike shoppers.

Audience Type	Signal Source	Strength
Remarketing (views)	Shopper viewed your PDP	Very high intent (5-10x cold)
Purchases remarketing	Shopper bought from you before	Highest intent (15-25% CVR)
In-market	Amazon search/buy behavior in last 7-30 days	High intent
Lifestyle	Long-term purchase pattern	Mid intent, broad reach
Lookalike	Amazon-built similarity to seed audience	Low intent, high reach

4.4 Auto-Targeting Categories — operationally

Auto's real job is discovery, not performance. Set bids low (10-30% below your Manual Exact bids), let it run for 2-4 weeks, then mine the Search Term Report for high-converting terms. Promote those terms to Manual Exact and add them as negatives in Auto. Over 3-6 months, your Auto campaign should shrink in importance as your Manual campaigns absorb the proven winners.

4.5 Learning Aid

- **Broad match:** Triggers ad for keyword in any order plus related terms. Highest reach, highest irrelevance risk.
- **Phrase match:** Triggers ad for keyword in exact order with words before/after. Middle ground.
- **Exact match:** Triggers ad for keyword alone (plus plurals/misspellings). Highest CVR, lowest waste.
- **Conquesting:** Bidding on competitor brand terms and ASINs to steal their traffic.

COMMON MISTAKE

New strategists put harvested Exact keywords into Broad campaigns. This causes the Broad campaign to cannibalize the Exact campaign - same keyword, two bids, you compete against yourself.

4.6 Quiz

Q1. [Foundational] You bid on "yoga mat" Broad. Which search will NOT trigger your ad?

- A. thick yoga mat
- B. yoga mat for beginners
- C. mat for yoga
- D. All of these can trigger

Q2. [Applied] You bid on "yoga mat" Phrase. Which search will trigger your ad?

- A. mat for yoga
- B. yoga exercise mat
- C. extra thick yoga mat
- D. yoga mats review

Q3. [Applied] What is the correct harvesting pipeline?

- A. Exact -> Phrase -> Broad -> Auto
- B. Auto -> Broad -> Phrase -> Exact
- C. Broad -> Exact -> Phrase -> Auto
- D. Auto -> Exact -> Phrase -> Broad

Q4. [Applied] You target Competitor ASIN XYZ. Your ad will appear where?

- A. In search results for XYZ's brand name
- B. On the product detail page for XYZ
- C. On Amazon's homepage
- D. In email campaigns Amazon sends

Q5. [Advanced] What is cannibalization and how do you prevent it?

- A. When two of your ads compete for the same placement
- B. When the same keyword is bidded in multiple campaigns; prevent with negative keywords in source campaigns
- C. When Amazon steals your budget
- D. When organic cannibalizes paid

ANSWER KEY

Q1: D (Broad allows any order + related terms - all trigger). Q2: C (Phrase needs exact order). Q3: B (loose to tight). Q4: B (ASIN targeting = product detail page). Q5: B (cannibalization = same keyword in multiple campaigns; fix with negatives).

4.7 Handout Summary

DEFINITION

Match types control how closely a shopper's search must match your keyword for your ad to trigger. Broad = loosest. Phrase = middle. Exact = tightest. The harvesting pipeline promotes winners from loose to tight, with negative keywords preventing cannibalization.

KEY FORMULA

Cannibalization prevention rule: When promoting search term X from Campaign A to Campaign B, immediately add X as negative in Campaign A.

On-the-Job Checklist

- I can describe Broad, Phrase, and Exact in one sentence each.
- I know the harvesting pipeline order (Auto -> Broad -> Phrase -> Exact).
- I know how to prevent cannibalization when promoting terms.
- I can identify when to use ASIN targeting vs. keyword targeting.

KEY TAKEAWAY

Match types are the #1 lever for controlling wasted spend. Broad without negatives = throwing money at irrelevant searches. Exact without harvesting = stuck with no growth. Master the pipeline and you master Amazon PPC.

5 Keyword Research & Search Term Mining

Keywords are the fuel. Without good keywords, no amount of bid optimization will save you. This section covers the research workflow, the tools, and the harvesting pipeline that turns raw search data into high-converting Exact campaigns.

5.1 Research Methodology

Seed keyword generation

Start with seed keywords - the obvious terms that describe your product. Brainstorm 10-20 obvious ones ('yoga mat', 'exercise mat', 'pilates mat'). Then check competitor listings - their titles and bullets reveal the keywords they're targeting. Finally, use Amazon autocomplete: type 'yoga mat ' into the Amazon search bar and see what suggestions appear ('yoga mat thick', 'yoga mat non slip', 'yoga mat extra wide'). Each suggestion is a real search.

Source	What You Get	Effort	Quality
Brainstorm	10-20 obvious terms	15 min	Low (you already know these)
Competitor listings	Keywords competitors target	30 min	Mid (proven by competitors)
Amazon autocomplete	Real shopper searches	20 min	High (actual Amazon data)
Brand Analytics SQP	First-party search + conversion data	5 min	Highest (free, first-party)
Helium 10 Cerebro	Reverse ASIN lookup	10 min	High (paid tool)

STRATEGY

Always check Brand Analytics Search Query Performance (SQP) FIRST. It's free for Brand Registry sellers and shows actual shopper searches with click and conversion data from Amazon's first-party perspective. More reliable than any third-party tool. Then use paid tools to fill gaps.

Search term report mining workflow

Once campaigns are running, the Search Term Report becomes your most valuable data source. Pull it weekly, sort by spend descending, and review every term that spent more than ~\$10. For each, decide: **Exact** (converts well, promote to Exact campaign), **Negative** (irrelevant, add as negative), or **Watch** (need more data, leave it). This weekly ritual is the single highest-leverage activity in PPC management.

5.2 Keyword Research Tools

Tool	Strength	Price	Best For
Helium 10 (Cerebro/Magnet)	Reverse ASIN + seed expansion	\$39-\$279/mo	Agencies, growth brands
Jungle Scout	Product research + keywords	\$49-\$129/mo	Brand owners
SellerApp	Analytics + research	\$49-\$199/mo	Small-to-mid brands
Perpetua	Bid automation	Enterprise	Mid-market agencies
Pacvue	Full-funnel automation	Enterprise	Enterprise brands
Teikametrics (Flywheel)	Bid automation	\$500+/mo	Mid-market brands
Brand Analytics SQP (Amazon)	First-party search data	Free (Brand Registry)	Everyone - check first

PRO TIP

Most accounts need only 1 all-in-one suite plus 1 point solution. More tools = more logins, more cost, more confusion. Start with Brand Analytics (free) + Helium 10 (\$79 tier). Add Teikametrics or Perpetua only when you need bid automation at scale.

5.3 Search Term Harvesting Workflow

Threshold rules for promoting a search term

HARVESTING THRESHOLDS

Promote to Exact when ALL four conditions are met:

1. 2+ orders in last 30 days
2. ACOS below 30%
3. CVR above 8%
4. 20+ clicks accumulated

If only 1-2 conditions met: watch for another 2 weeks.

If 30+ clicks with 0 orders and clearly irrelevant: add as Negative Exact.

EXAMPLE

Auto campaign shows 'yoga mat for knee pain' with 35 clicks, 5 orders, \$14 spend, \$145 ad sales. $CVR = 5/35 = 14.3\%$. $ACOS = \$14/\$145 = 9.7\%$. Meets all thresholds. Promote to Exact at starting bid \$0.70 (auto CPC was \$0.40, +75% for Exact auction). Add as negative Exact in Auto.

Harvest to Exact campaign pipeline (6 steps)

Step	Action	Time
1	Pull Search Term Report (weekly)	5 min
2	Identify terms meeting all 4 thresholds	10 min
3	Add as Exact keyword in Exact campaign	5 min/term
4	Set starting bid = source CPC x 1.20	1 min/term
5	Add as negative Exact in source Auto/Broad campaign	2 min/term
6	Monitor for 2 weeks, adjust bid based on performance	Ongoing

COMMON MISTAKE

The negative-out step is critical and often forgotten. If you promote 'yoga mat thick' from Broad to Exact but leave it active in Broad, both campaigns will bid on it - you compete against yourself, driving up your effective CPC. Always add the term as negative in the source campaign the same day you promote it.

5.4 Long-Tail vs. Head Term Strategy

Aspect	Head Terms (1-2 words)	Long-Tail (3+ words)
Example	"yoga mat"	"extra thick yoga mat for knee pain"
Search volume	High	Low
Competition	High	Low
CPC	\$1-\$3+	\$0.20-\$0.80
CVR	3-8%	10-20%
Margin per click	Tight	Healthy
Role in portfolio	Scale (top of funnel)	Efficiency (bottom of funnel)

STRATEGY

Mature accounts have both. Head terms for scale, long-tail for efficiency. New accounts should START with long-tail - lower CPC tolerates the lower CVR of new products. Add head terms once CVR improves with reviews and A+ Content.

5.5 Learning Aid

- **Seed keyword:** The obvious starting term you brainstorm before doing tool-based research.
- **Reverse ASIN lookup:** Using a tool like Cerebro to find which keywords a competitor ASIN ranks for.
- **Search Term Report:** Amazon native report showing actual shopper search queries that triggered your ads.
- **Long-tail term:** 3+ word keyword with low volume, low competition, high CVR.

COMMON MISTAKE

Harvesting terms that converted once on small sample sizes. One conversion on 5 clicks is not statistically significant - it could be luck. Wait for 2+ conversions on 20+ clicks before promoting.

5.6 Quiz

Q1. [Foundational] What is the most reliable source of keyword data?

- A. Third-party tools like Helium 10
- B. Amazon's own Search Query Performance report in Brand Analytics

- C. Amazon autocomplete
- D. Competitor listings

Q2. [Applied] A search term has 1 conversion on 8 clicks. Should you promote it to Exact?

- A. Yes, immediately
- B. No, wait for at least 2 conversions on 20+ clicks for statistical significance
- C. Yes, but only if ACOS is below 20%
- D. No, never promote single-conversion terms

Q3. [Applied] You promote "yoga mat thick" from Broad to Exact. What must you do the same day?

- A. Nothing - just leave it in Broad
- B. Add "yoga mat thick" as negative Exact in Broad to prevent cannibalization
- C. Increase Broad budget
- D. Pause the Broad campaign entirely

Q4. [Applied] Which is typically true of long-tail keywords vs. head terms?

- A. Higher volume, higher CPC, lower CVR
- B. Lower volume, lower CPC, higher CVR
- C. Higher volume, lower CPC, higher CVR
- D. Lower volume, higher CPC, lower CVR

Q5. [Advanced] What does Helium 10 Cerebro do?

- A. Generates keyword ideas from a seed
- B. Reverse-engineers which keywords a competitor ASIN ranks for
- C. Automates bid management
- D. Builds brand stores

ANSWER KEY

Q1: B (first-party Amazon data beats third-party estimates). Q2: B (1 conversion on 8 clicks is luck-level). Q3: B (negative-out prevents cannibalization). Q4: B (long-tail = lower volume, lower CPC, higher CVR). Q5: B (Cerebro = reverse ASIN).

5.7 Handout Summary

DEFINITION

Keyword research is the systematic process of identifying, evaluating, and prioritizing the search terms shoppers use to find products like yours. The harvesting pipeline promotes high-performing search terms from Auto/Broad campaigns into Exact campaigns, with negative keywords preventing cannibalization.

KEY FORMULA

Harvesting thresholds: 2+ orders in 30 days AND ACOS < 30% AND CVR > 8% AND 20+ clicks. Starting Exact bid = source campaign CPC x 1.20.

On-the-Job Checklist

- I can generate seed keywords from brainstorming, autocomplete, and competitor listings.
- I know to check Brand Analytics SQP (free, first-party) before paying for tools.
- I can apply the harvesting thresholds to decide which terms to promote.
- I always add harvested terms as negative in the source campaign the same day.

KEY TAKEAWAY

Statistical significance is the most under-taught concept in PPC. One conversion on 5 clicks is luck, not signal. Wait for 2+ conversions on 20+ clicks before judging. Patience saves accounts from chasing noise.

6 Bidding Strategies & Bid Management

Bids determine whether your ad shows and where. Too low and you're invisible; too high and you burn margin. This section covers the math of bidding, the automation options, and the cadence of bid reviews.

6.1 Manual Bidding Fundamentals

Bid calculation formulas

Formula	Calculation	Use Case
Break-even bid	$\text{Price} \times \text{CVR} \times (1 - \text{COGS\%} - \text{target margin\%})$	Max bid before losing money
Target ACOS bid	$\text{Price} \times \text{CVR} \times (1 - \text{target ACOS})$	Bid that achieves target ACOS
Starting bid (new keyword)	Target ACOS bid with conservative CVR estimate	New keywords with no history
Amazon suggested bid	Amazon-provided range based on recent auctions	Sanity check your custom formula

EXAMPLE

Product price: \$29.99. CVR: 12%. COGS: 35%. Target margin: 20%. Break-even bid = $\$29.99 \times 0.12 \times (1 - 0.35 - 0.20) = \$29.99 \times 0.12 \times 0.45 = \1.62 . Bidding above \$1.62 loses money at this CVR. Target ACOS bid (25% target) = $\$29.99 \times 0.12 \times 0.75 = \2.70 . Use as ceiling bid for proven keywords.

STRATEGY

For a brand-new keyword with no CVR history, use a conservative CVR assumption (5% for new products, 8-10% for mature products) and calculate target ACOS bid. Sanity-check against Amazon suggested bid range. Start at the low end of suggested if your formula bid is lower; start at formula bid if higher.

6.2 Dynamic & Rule-Based Bidding

Amazon's dynamic bid settings

Setting	What Amazon Does	CPC Risk	When to Use
Fixed bids	Uses your exact bid, no adjustments	Predictable	New campaigns (first 2-4 weeks)
Dynamic down only	Lowers bid up to 100% for poor placements	Never overpays	Most mature campaigns
Dynamic up and down	Raises bid up to 100% for TOS, lowers for poor	Can 2x CPC	High-CVR campaigns only

COMMON MISTAKE

Dynamic up/down can 2x your CPC. Only enable on campaigns where conversion history proves the extra spend will pay off. Premature use on new campaigns = Amazon overspends on placements that don't convert, with no data to optimize.

Third-party bid automation

Tools like Perpetua, Pacvue, and Teikametrics automate bid changes based on rules you set: 'keep ACOS under 25%', 'maintain Top of Search 40% of impressions'. They pull data hourly and adjust bids daily. Pros: saves time, removes emotion, scales to hundreds of keywords. Cons: monthly cost (\$200-\$2000+), learning curve, and they can amplify bad decisions if rules are wrong. Start manual, automate once you understand the rules.

Dayparting bid adjustments

Dayparting = adjusting bids by time of day. If your yoga mats convert best between 7-10 PM (when people relax after work), you can bid up during those hours and down overnight. Amazon's native console doesn't support dayparting - you need third-party tools. The lift is typically 5-15% efficiency gain, so worth it for accounts over \$10K/month spend.

6.3 Bid Adjustment Cadence

Daily / weekly / monthly review rhythms

Cadence	Time	Activities
Daily	5-10 min/account	Budget pacing check, pause campaigns that ran out, scan anomalies
Weekly	1-2 hrs/account	STR pull, top 20 bid adjustments, negotiations, harvesting, budget review
Monthly	3-4 hrs/account	Deep-dive analysis, portfolio review, strategic shifts
Quarterly	1 day/account	Full audit, lifecycle stage review, tool stack evaluation

Statistical significance thresholds

SIGNIFICANCE THRESHOLDS

Before adjusting any bid, wait for:

- 30+ clicks on the keyword, OR
- 3+ conversions on the keyword

Below these thresholds, performance data is statistical noise. Adjusting now is gambling, not optimizing. For low-volume long-tail keywords, you may need 60-90 days to accumulate enough data.

COMMON MISTAKE

Adjusting bids daily based on yesterday's data. One day of data is noise - wait at least 7 days and 30 clicks before judging performance. Premature optimization is the #1 cause of self-inflicted underperformance.

EXAMPLE

A keyword has 5 clicks and 1 conversion in 2 days. ACOS looks great at 18%. Don't raise the bid yet - sample is too small. Wait until 30+ clicks accumulate. After 2 weeks: 35 clicks, 4 orders, \$42 spend, \$120 sales. ACOS = 35%. Now you have signal: lower bid by 15%.

6.4 Placement Bid Modifiers

Top of Search modifier strategy

Top of Search (TOS) is the holy grail - positions 1-4 on page 1 of search results. TOS gets ~3-5x the click volume of Rest of Search and typically 1.5-2x the CVR because shoppers trust top results. Start with TOS modifier at +25% for proven Exact keywords. If TOS share is below 30% of impressions after a week, increase to +50%. Above 60% TOS share, you may be overpaying - dial back.

STRATEGY

TOS modifier ladder: start at +25%, observe 1 week. If TOS share <30%, jump to +50%. If still <30%, jump to +75%. If TOS share >60% but ACOS still under target, hold. If TOS share >60% and ACOS above target, dial back to +25%.

Product Page placement modifier strategy

Product Page placement = your ad on other products' detail pages. CVR is typically lower than TOS (shoppers are already looking at a different product) but CPC is also lower. Default: leave Product Page modifier at 0%. Increase to +25% only for ASIN-targeted campaigns where you specifically want to conquest competitor pages.

6.5 Learning Aid

- **Break-even bid:** Max bid before you lose money on a sale.
- **Target ACOS bid:** Bid that achieves your target ACOS at current CVR.
- **Dayparting:** Adjusting bids by time of day to concentrate spend in high-converting hours.
- **Statistical significance:** Enough data to trust a metric; for bids, 30+ clicks or 3+ conversions.

6.6 Quiz

Q1. [Applied] Product price \$30, CVR 10%, COGS 40%, target margin 20%. What is the break-even bid?

- A. \$0.60
- B. \$1.20
- C. \$1.80
- D. \$2.40

Q2. [Foundational] When should you use Dynamic bids up and down?

- A. For every new campaign
- B. Only for campaigns with strong CVR history
- C. Never
- D. Only for Auto campaigns

Q3. [Applied] How many clicks should you wait for before adjusting a keyword bid?

- A. 5 clicks
- B. 10 clicks
- C. 30 clicks (or 3 conversions)
- D. 100 clicks

Q4. [Applied] A keyword has TOS share of 20% after a week with TOS modifier at +25%. What should you do?

- A. Decrease TOS modifier
- B. Increase TOS modifier to +50%
- C. Pause the keyword
- D. Nothing - 20% is fine

Q5. [Advanced] Why does dayparting typically yield only 5-15% efficiency gains?

- A. Because Amazon doesn't allow it
- B. Because most clicks happen evenly across hours; the lift is from concentrating spend in best hours
- C. Because third-party tools are imperfect
- D. Because dayparting is illegal in some countries

ANSWER KEY

Q1: B ($\$30 \times 0.10 \times 0.40 = \1.20). Q2: B (only with strong CVR history). Q3: C (30 clicks or 3 conversions). Q4: B (under-winning TOS, raise modifier). Q5: B (CVR varies by hour but not dramatically).

6.7 Handout Summary

DEFINITION

Bidding is the process of setting the maximum you're willing to pay per click. Two key formulas: break-even bid (max bid before losing money) and target ACOS bid (bid that achieves target ACOS).

KEY FORMULA

Break-even bid = price x CVR x (1 - COGS% - target margin%). Target ACOS bid = price x CVR x (1 - target ACOS).

On-the-Job Checklist

- I can calculate break-even bid and target ACOS bid for any product.
- I know which bidding strategy to use for new vs. mature campaigns.
- I never adjust bids before 30 clicks or 3 conversions accumulate.
- I know how to set and tune TOS placement modifiers.

KEY TAKEAWAY

Patience is a competitive advantage in PPC. The strategist who waits for 30 clicks outperforms the strategist who reacts to yesterday's data. Premature optimization is the #1 cause of self-inflicted underperformance.

7 Budget Management & Pacing

Budget is the air supply for your campaigns. Run out and you lose the day's sales. Over-budget and you waste money on inefficient clicks. This section covers allocation frameworks, pacing diagnostics, and seasonal planning.

7.1 Budget Allocation Frameworks

Approach	How It Works	Pros	Cons
Top-down	Brand owner sets total. You allocate by historical performance.	Fast, aligns with finance	Can starve profitable SKUs
Bottom-up	Calculate per-SKU target from margin + growth goals. Total them.	Disciplined, profit-aware	Requires per-SKU P&L; data
Hybrid	Bottom-up per SKU, capped at top-down total	Best of both	Most complex to maintain

STRATEGY

Start with top-down (faster, gets you running). Move to bottom-up once you have 6+ months of per-SKU P&L; data. Bottom-up produces more disciplined budgets that align spend to profitability per SKU.

7.2 Pacing & 'Ran Out of Budget' Diagnostics

Identifying budget-starved high performers

BUDGET-STARVED SYMPTOMS

All three must be true:

1. Budget hits 100% before 6 PM
2. Lost impression share > 30%
3. ACOS well below target

Fix: Raise budget by 30-50%. Observe 3 days. If ACOS stays low and budget still runs out, raise again. If ACOS climbs above target, you've found the ceiling - hold the budget.

EXAMPLE

Your Exact campaign has \$30/day budget. It runs out by 2 PM daily. Lost impression share is 45%. ACOS is 14% (target is 25%). Raise budget to \$50/day. After 3 days: budget runs out at 8 PM, lost impression share drops to 12%, ACOS stays at 16%. Raise to \$70/day. Now budget paces through midnight, lost impression share is 5%, ACOS is 19%. Stop raising - you've found optimal budget.

Dayparting to control pacing

If you can't raise budget (e.g., portfolio cap is hit), use dayparting to concentrate spend in high-converting hours. Lower bids 20-30% overnight (10 PM - 6 AM) when CVR is typically low. Raise bids 10-15% during peak hours (7-10 PM for most consumer products). This squeezes more sales out of the same budget.

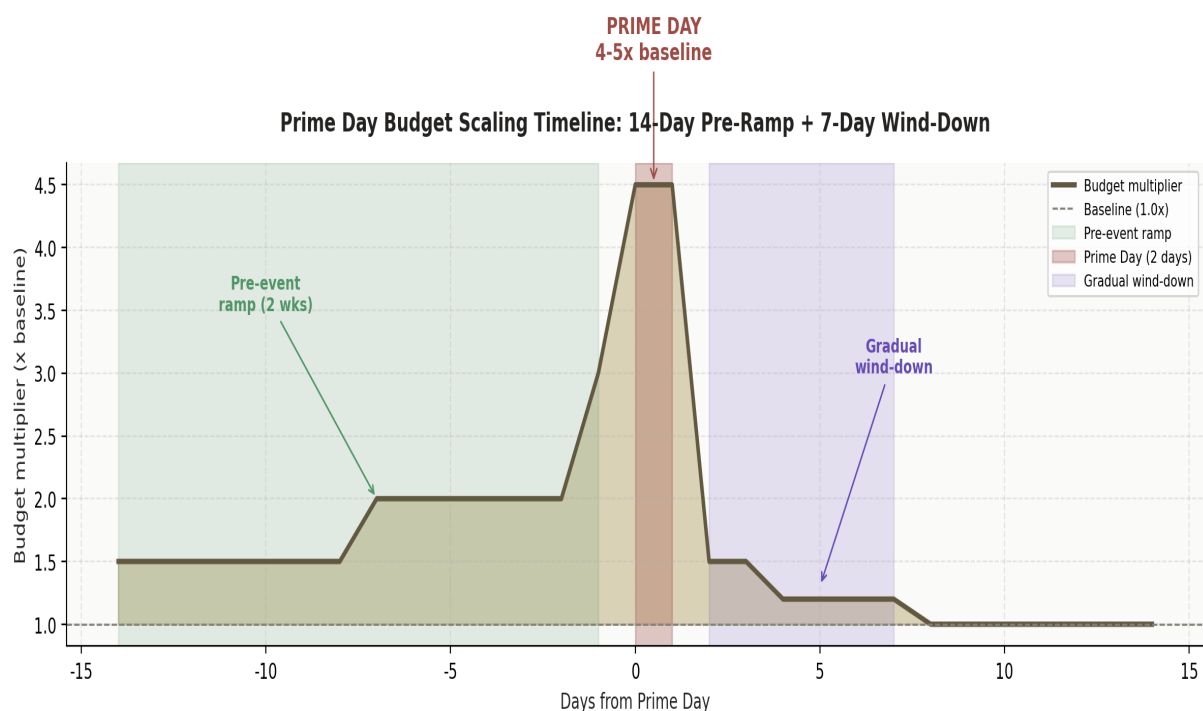
7.3 Seasonal Budget Planning

Figure 7.1: Prime Day Budget Scaling Timeline — 14-day pre-event ramp (2x baseline), 2-day event (4-5x baseline), 7-day gradual wind-down (1.5x then 1.2x), then return to baseline. Sudden budget cuts trigger algorithm deprioritization - gradual wind-down is non-negotiable.

Q4/Prime Day/Black Friday scaling models

Event	Pre-Event Scaling	During Event	Post-Event Wind-Down
Prime Day (July)	T-14: 1.5x, T-7: 2x, T-1: 3x	Day 0-1: 4-5x	Day 1-3: 1.5x, Day 4-7: 1.2x
Q4 October	T-14: 1.3x	1.5x baseline	N/A (leads into Nov)
BFCM weekend	T-14: 2x	Nov 29-Dec 2: 3x	Dec 3-7: 1.5x
December holidays	Already scaled from BFCM	2x baseline	Dec 26-31: 1.3x
January wind-down	N/A	1.2x baseline	Return to baseline by Jan 15

COMMON MISTAKE

Don't crash budgets back to baseline the day after an event. Shopper behavior is still elevated for 5-7 days post-event. Ramp down gradually: Day 1-3 post-event at 1.5x, Day 4-7 at 1.2x, then return to baseline. Sudden budget cuts trigger Amazon's algorithm to deprioritize your campaigns, and it takes weeks to recover.

STRATEGY

Build budgets 2 weeks ahead of any event. Amazon's algorithm needs calibration time - if you scale budgets 4-5x on the day of Prime Day, you'll overspend on irrelevant clicks because the algorithm hasn't learned which placements convert. Pre-ramp = algorithm calibration = profitable event.

7.4 Learning Aid

- **Top-down budgeting:** Allocate from a fixed total based on historical performance.
- **Bottom-up budgeting:** Calculate per-SKU target spend based on margin and growth goals.
- **Budget-starved campaign:** High-performing campaign that runs out of budget before day end.
- **Lost impression share:** % of impressions you missed because budget ran out or bid was too low.

7.5 Quiz

Q1. [Applied] What is the symptom of a budget-starved high performer?

- A. ACOS above target
- B. Budget runs out before day end AND lost impression share > 30% AND ACOS below target

- C. High CPC
- D. Low CTR

Q2. [Applied] A campaign runs out of \$30/day by 2 PM with 14% ACOS (target 25%). What should you do?

- A. Lower budget
- B. Raise budget by 30-50% and watch for 3 days
- C. Pause the campaign
- D. Lower bids

Q3. [Applied] How should you scale budgets for Q4 vs. baseline?

- A. Same as baseline
- B. October 1.5x, November 2.5x, December 2x baseline
- C. 10x baseline all of Q4
- D. Cut budgets - Q4 is too competitive

Q4. [Advanced] Why ramp down budgets gradually after Prime Day instead of crashing back?

- A. Amazon doesn't allow sudden cuts
- B. Algorithm deprioritizes campaigns with sudden spend drops; recovery takes weeks
- C. It doesn't matter
- D. To keep agency fees high

Q5. [Advanced] When is bottom-up budgeting more useful than top-down?

- A. When you don't have per-SKU P&L; data
- B. When you have detailed per-SKU margin and growth goals and want disciplined allocation
- C. Always
- D. Never

ANSWER KEY

Q1: B (all three symptoms must be present). Q2: B (raise 30-50%, observe 3 days). Q3: B (gradual Q4 scaling). Q4: B (algorithm deprioritization). Q5: B (needs per-SKU data but more disciplined).

7.6 Handout Summary

DEFINITION

Budget management is the practice of allocating spend across campaigns and pacing that spend across time. Two approaches: top-down (allocate from fixed total) and bottom-up (calculate per-SKU target). Budget-starved high performers should get more budget; seasonal events need pre-event ramp and post-event gradual wind-down.

KEY FORMULA

Seasonal scaling: October = 1.5x, November = 2.5x (BFCM spike), December = 2x. Prime Day = 3-5x for 2 days. Post-event wind-down: 1.5x for 3 days, 1.2x for 4 days, then baseline.

On-the-Job Checklist

- I can identify budget-starved campaigns from lost impression share data.
- I know to raise budgets by 30-50% increments and observe for 3 days.
- I plan Q4 and Prime Day scaling 2 weeks ahead.
- I ramp down budgets gradually after events, never crash back to baseline.

KEY TAKEAWAY

Budget pacing is a daily check, not a monthly one. A budget-starved campaign loses sales every day it runs out by noon. Five minutes of pacing review per day prevents thousands of dollars in lost sales per month.

8 Placements & Placement Optimization

Where your ad appears on Amazon determines everything - click volume, CPC, CVR. This section covers the three placement types and how to diagnose placement performance.

Placement Performance: TOS Wins on CVR but Costs More

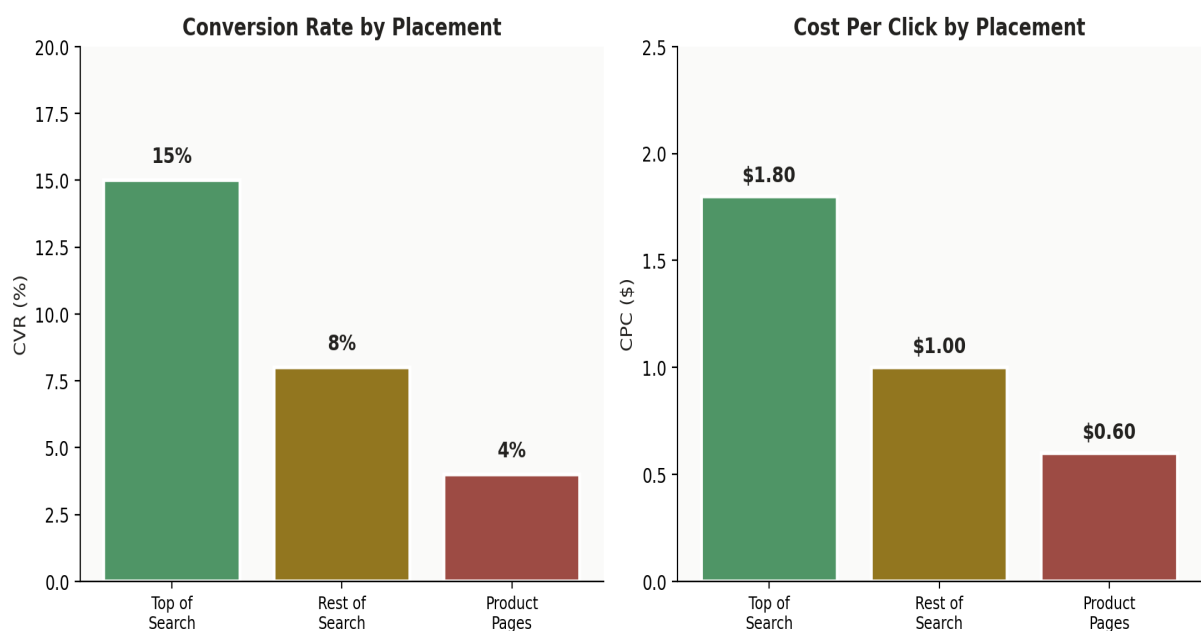


Figure 8.1: Placement Performance — TOS has highest CVR (15%) but also highest CPC (\$1.80). ROS is the workhorse (mid on both). PDP has lowest CVR but lowest CPC. TOS modifier strategy depends on this tradeoff.

8.1 Placement Types

Placement	Position	CVR	CPC	When to Boost
Top of Search (TOS)	Page 1, positions 1-4	15% (highest)	\$1.80	Exact keywords, proven CVR
Rest of Search (ROS)	Page 1 positions 5+, page 2+	8% (mid)	\$1.00	Default - no boost allowed
Product Pages (PDP)	Other products' detail pages	4% (lowest)	\$0.60	ASIN conquering only

8.2 Placement Reporting & Diagnosis

Open any campaign, click the 'Placements' tab. You'll see impressions, clicks, spend, sales, ACOS, and TOS share broken down by placement. This report is your primary placement diagnostic tool.

Symptom	Diagnosis	Action
TOS share low + ACOS below target	Under-winning TOS, profitable	Raise TOS modifier to +50%
TOS share high + ACOS above target	Over-paying for TOS	Lower TOS modifier or shift to ROS
PDP share high + ACOS bad	PDP waste	Pause Product Targeting or lower PDP bid
PDP share high + ACOS good	PDP winner	Scale Product Targeting campaigns

PRO TIP

Start TOS modifier at +25%, never +900% (max). Without CVR history, Amazon can't optimize and you may overpay massively. Tune up by +25% increments weekly based on TOS share data.

9 Negative Keywords & Negation Strategy

Negatives are how you stop wasting money on irrelevant searches. Done right, they can cut wasted spend 20-40% with no impact on sales. Done wrong, they kill discovery.

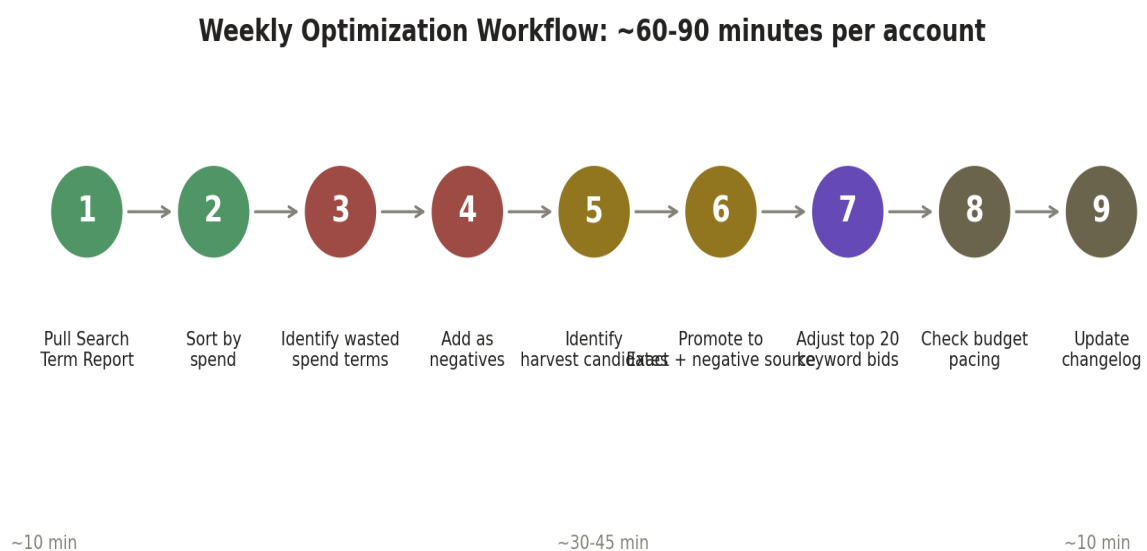


Figure 9.1: Weekly Optimization Workflow — 9 steps, ~60-90 minutes per account. Steps 3-4 (negations) and 5-6 (harvesting) are the highest-leverage activities. Skipping them = wasted spend + missed growth opportunities.

9.1 Negative Match Types

Type	What It Blocks	Risk	When to Use
Negative Exact	Only the exact search term	Low - precise	Specific irrelevant terms
Negative Phrase	Any search containing the phrase	Higher - can over-block	Clear irrelevant modifiers ("cheap", "free", "how to")
Negative Product Targeting	Ads on specific ASINs	Low	Cheap competitor ASINs not worth conquering

COMMON MISTAKE

Adding 'yoga' as Negative Phrase in a yoga mat campaign. This blocks every search containing 'yoga' - which is every relevant search. Use Negative Phrase carefully and prefer Negative Exact when possible.

9.2 Cross-Campaign Negation (the most important pattern)

When you harvest a term from Broad to Exact, add it as negative Exact in the Broad campaign. Otherwise both campaigns bid on the same term, you compete against yourself, and your effective CPC climbs. Same logic for Auto -> Manual and Phrase -> Exact promotions. Always negative-out the source campaign the same day you promote a term.

EXAMPLE

You bid on 'yoga mat' in Broad at \$0.40. You harvest 'yoga mat thick' to Exact at \$1.20. Without negative-out: both campaigns bid on 'yoga mat thick'. The Broad campaign might win some auctions at \$0.40, stealing impressions from your higher-converting Exact campaign. With negative-out: only the Exact campaign bids, and you win auctions at the right CPC for the right conversion.

9.3 Common Negation Mistakes

Over-negating (killing discovery)

If you negative every term that doesn't convert in week 1, you kill the discovery pipeline. Some terms need 30+ clicks to convert. Negatives should target terms that are clearly irrelevant (wrong product, wrong intent), not terms that are relevant but early.

Negative conflicts

A negative conflict happens when you negative a term in one campaign that's an active positive target in another. Example: 'yoga mat' is your positive Exact keyword in Campaign A, but you accidentally added it as Negative Phrase in Campaign B. Now Campaign B won't show for 'yoga mat' even though you wanted it to. Audit negatives quarterly to catch these.

9.4 Learning Aid

- **Negative Exact:** Blocks your ad from showing for that exact search term only.
- **Negative Phrase:** Blocks any search containing that phrase; broader but riskier.
- **Cross-campaign negation:** Adding a harvested term as negative in the source campaign to prevent cannibalization.

- **Negative conflict:** Accidentally negating a term that is an active positive target elsewhere.

COMMON MISTAKE

Adding 'yoga' as Negative Phrase in a yoga mat campaign blocks every relevant search. Use Negative Phrase carefully and prefer Negative Exact when possible.

9.5 Quiz

Q1. [Applied] You add "kids" as Negative Phrase. Which search will still trigger your ad?

- A. yoga mat for kids
- B. kids yoga mat
- C. yoga mat children
- D. All are blocked

Q2. [Foundational] You harvest "yoga mat thick" from Broad to Exact. What **MUST** you do the same day?

- A. Increase Broad budget
- B. Add "yoga mat thick" as negative Exact in Broad
- C. Pause the Broad campaign
- D. Nothing

Q3. [Applied] A search term has 15 clicks and 0 orders. It is clearly irrelevant (wrong product). What do you do?

- A. Wait for more data
- B. Add as Negative Exact
- C. Lower your bid
- D. Add as a positive keyword

Q4. [Applied] What is the danger of over-negating?

- A. You save too much money
- B. You kill the discovery pipeline by negating terms that needed more time to convert
- C. Amazon penalizes you
- D. Nothing - more negatives is always better

Q5. [Advanced] What is a negative conflict?

- A. Two negatives in the same campaign
- B. Negating a term that is an active positive target elsewhere
- C. A negative keyword that doesn't work
- D. A negation error in Amazon's system

ANSWER KEY

Q1: C (children $\neq$ kids, doesn't match phrase). Q2: B (negative-out prevents cannibalization). Q3: B (irrelevant + wasted spend = negate). Q4: B (kills discovery pipeline). Q5: B (negating positive target).

9.6 Handout Summary

DEFINITION

Negative keywords block your ad from showing for specific search terms. Negative Exact blocks the exact term; Negative Phrase blocks any search containing the phrase. Cross-campaign negation prevents cannibalization when harvesting terms between campaigns. Over-negating kills discovery.

KEY FORMULA

Wasted spend threshold for negation: 0 orders + 10+ clicks + clearly irrelevant intent = add as Negative Exact immediately.

On-the-Job Checklist

- I know the difference between Negative Exact and Negative Phrase.
- I always negative-out source campaigns the same day I harvest a term.
- I check Search Term Report weekly for wasted-spend terms to negative.
- I audit existing negatives quarterly to catch conflicts.

KEY TAKEAWAY

Negation is the highest-ROI weekly activity. Twenty minutes of negative-keyword review can save 20-40% of wasted Broad/Auto spend with zero impact on sales. Make it non-negotiable in your weekly workflow.

A Appendix A: Metrics Deep-Dive

Metrics are how you know whether your campaigns are working. This appendix covers every metric in detail with formulas and worked examples.

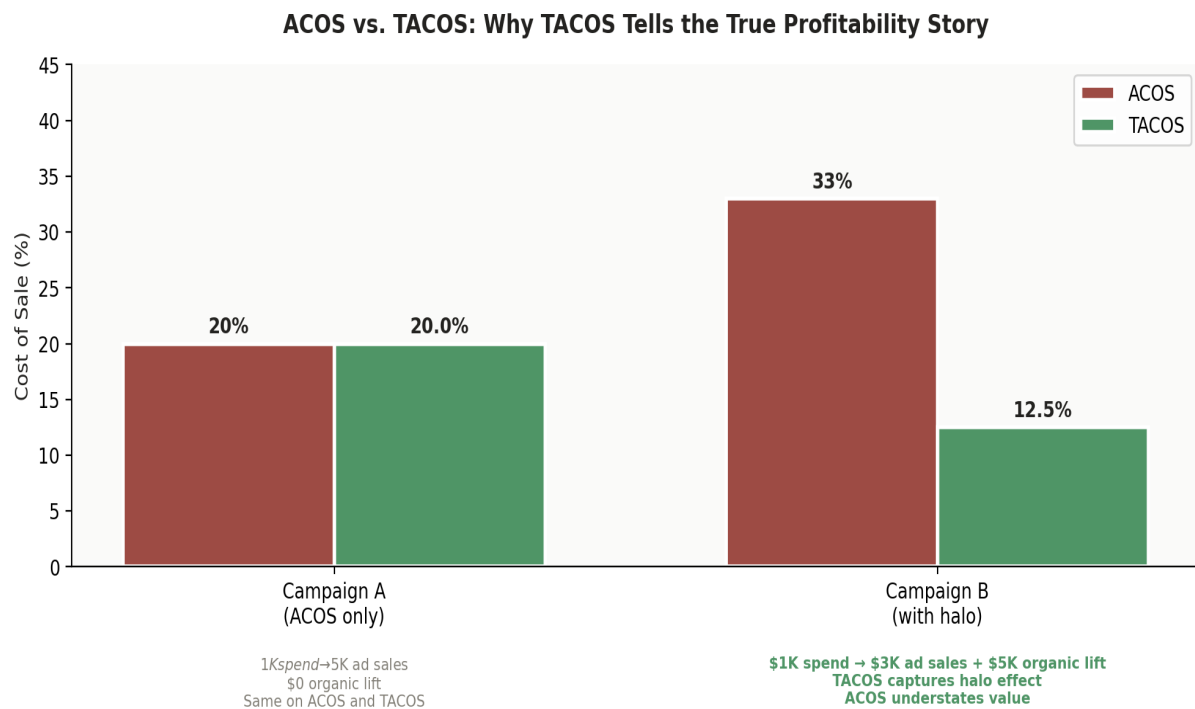


Figure A.1: ACOS vs. TACOS — Campaign A: \$1K spend, \$5K ad sales, \$0 organic. ACOS = TACOS = 20%. Campaign B: \$1K spend, \$3K ad sales, \$5K organic lift. ACOS = 33% (looks bad), TACOS = 12.5% (actually great). Always check TACOS - ACOS alone understates value.

A.1 ACOS vs. TACOS vs. ROAS — formulas and when each matters

Metric	Formula	When to Use	Pitfall
ACOS	Ad spend / Ad sales	Daily optimization, keyword-level decisions	Ignores organic halo - understates ad value
TACOS	Ad spend / Total sales (ad + organic)	Monthly P&L, campaign-level strategy	Includes organic sales - can mask ad issues
ROAS	Ad sales / Ad spend (= 1/ACOS)	Talking to finance teams	Same pitfall as ACOS - ignores halo

EXAMPLE

Monthly: \$5,000 ad spend, \$25,000 ad-attributed sales, \$40,000 organic sales. $ACOS = 5000/25000 = 20\%$. $TACOS = 5000/(25000+40000) = 7.7\%$. $ROAS = 25000/5000 = 5x$. A 20% ACOS looks mediocre but the 7.7% TACOS shows the campaign is highly profitable when organic halo is included.

A.2 Advanced Metrics

New-to-brand (NTB)

Amazon tracks whether a shopper has bought from your brand in the past 12 months. NTB orders = orders from first-time buyers. $NTB\% = \text{NTB orders} / \text{total orders}$. A high NTB% means your ads are acquiring new customers (good for growth-stage brands). A low NTB% means your ads are mostly retargeting existing customers (acceptable for mature brands in defense mode). NTB is only available for Sponsored Brands and Sponsored Display, not SP.

Halo effect / brand halo measurement

Halo effect = the indirect sales lift from advertising. Example: your SP ad for Product A drives a shopper to your store, where they buy Product B (which wasn't advertised).

Amazon's Brand Analytics Halo report shows this - sales of unadvertised products lift when ad campaigns run. Halo can be 10-30% of total sales lift, so ignoring it understates ad ROI by 10-30%.

A.3 Attribution Windows

Ad Type	Click Attribution	View Attribution
Sponsored Products	14 days	None
Sponsored Brands	14 days	None
Sponsored Display	14 days	1 day
Amazon DSP	14 days	7 or 14 days (configurable)

STRATEGY

Longer attribution windows capture more sales but introduce more noise. When comparing performance across ad types, normalize for window length. SP's 14-day click window means a shopper who clicks your ad Monday and buys via organic Friday still attributes to your ad - which inflates ad sales and deflates organic sales in reports. TACOS corrects for this by including both.

A.4 Break-even ACOS by Category

Category	Typical Break-Even ACOS	Typical Target ACOS	Why
Supplements	40-50%	25-35%	High margin, high competition
Beauty	35-45%	20-30%	High margin, mid competition
Apparel	25-35%	15-25%	Mid margin, mid competition
Home & Kitchen	25-35%	15-25%	Mid margin, mid competition
Electronics	15-25%	10-20%	Low margin, high competition
Books	15-25%	10-15%	Low margin, low competition

PRO TIP

These are directional. Your specific product margin and competition dictate your target. Don't blindly target industry benchmarks - calculate YOUR break-even ACOS first, then set target = break-even minus target margin (typically 10%).

B Appendix B: Lifecycle Strategy

Strategy depends on stage. What works at launch fails at maturity. This appendix covers the four lifecycle stages and the strategic shifts between them.

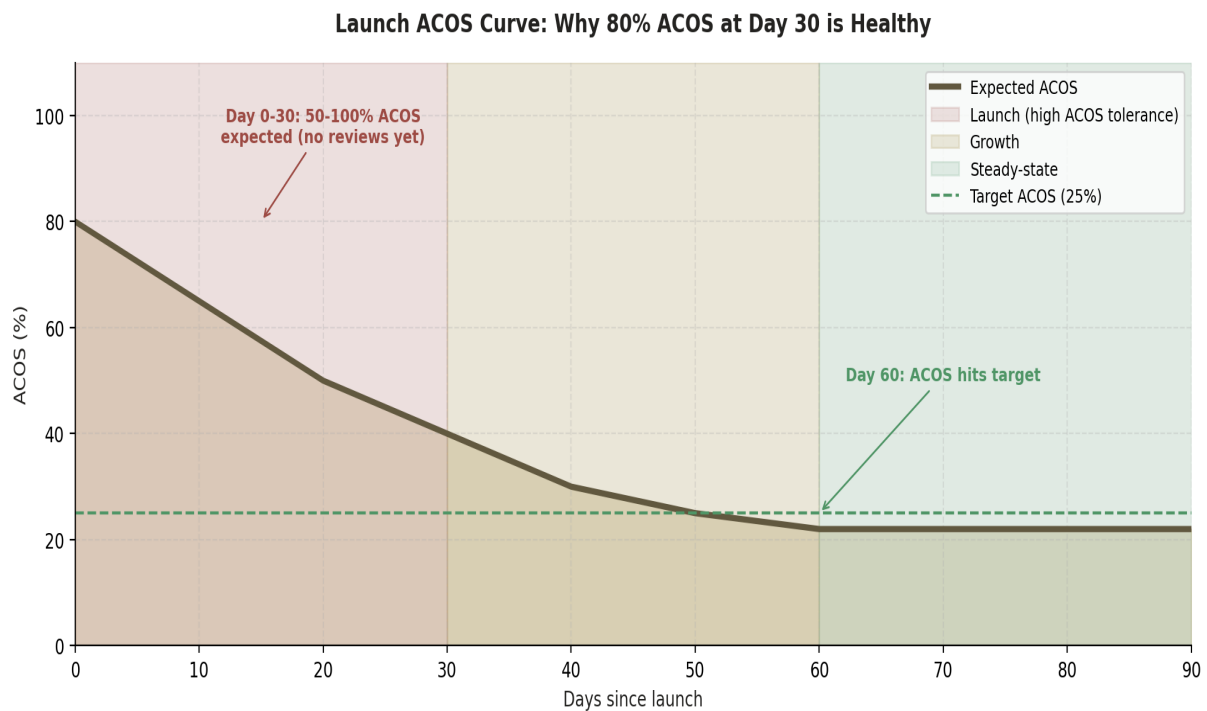


Figure B.1: Launch ACOS Curve — Days 0-30: 50-100% ACOS expected (no reviews yet). Days 30-60: ACOS drops to 30-50% as reviews accumulate. Days 60-90: ACOS hits target (25%). If still above 60% at Day 90, pause and audit the listing.

B.1 New Product Launch (Days 0-90)

Phase	Days	ACOS Target	Spend Focus	Key Activities
Initial launch	0-30	50-100%	Auto + Broad + Brand Defense	Vine for reviews, gather data
Early growth	31-60	30-50%	Add Exact for harvested terms	Listing optimization, A+ Content
Steady growth	61-90	25%	Scale Exact + add SD remarketing	TOS modifiers, negative clean-up
If above 60% at Day 90	Pause	N/A	Audit	Check listing quality, review velocity, pricing

STRATEGY

Launch structure: one Auto campaign (discovery) + one Broad campaign (seed keywords) + brand-name Exact campaign (defense). Budget split: 60% Auto, 30% Broad, 10% Brand Defense. Bids: 20-30% above mature levels to win impressions. Bidding strategy: Fixed bids (clean data) for first 2 weeks, then Dynamic down only.

COMMON MISTAKE

Reviews are the #1 CVR driver. A product with 0 reviews converts at 2-5%; with 15 reviews at 4.0 stars, 8-12%; with 50 reviews at 4.3 stars, 12-18%. Use Amazon Vine (free for Brand Registry) to get first 30 reviews in weeks 4-8. Without reviews, no amount of ad spend will make the launch profitable.

B.2 Growth Stage (Months 4-12)

Once a keyword has 30+ clicks and 3+ conversions, scale it: raise bid 20%, add as Exact in dedicated Exact campaign, set TOS modifier +25%. Watch ACOS for 7 days. If ACOS stays below target, raise bid another 20%. Repeat until ACOS approaches target or TOS share exceeds 60%.

Growth stage is when to add SB and SD. Launch SB brand defense campaign (targeting your brand name) - low ACOS, high visibility. Launch SD remarketing (targeting PDP viewers from last 30 days) - high CVR, easy win. Add these once SP is profitable.

B.3 Mature Stage (Year 2+)

Mature accounts shift from growth to efficiency. Focus: lower ACOS on top 20 keywords by 5-10%, eliminate wasted spend on bottom 50 keywords (negate or pause), refine TOS modifiers based on 90-day data. Monthly optimization cadence: deep dive, quarterly: strategic shifts.

B.4 Decline/Sunset

Budget wind-down strategy (4 weeks)

Week	Action	Budget	Rationale
Week 1	Cut budget 50%	50% of baseline	Slow sell-through
Week 2	Pause Broad and Auto	25% of baseline	Only Exact + Brand Defense remain
Week 3	Pause Phrase	10% of baseline	Only Exact + Brand Defense
Week 4	Pause Exact	0%	All ads off

STRATEGY

For liquidation (selling off remaining inventory), increase coupon to 20-30%, run a Lightning Deal, and increase Exact bids 30% to drive sell-through. Accept ACOS up to 60% - the goal is inventory clearance, not profitability. Stop ads when inventory hits zero.

C Appendix C: Cross-Channel Strategy

PPC doesn't operate in isolation. DSP, SD, and SP work together as a full funnel. This appendix covers how to orchestrate them.

Cross-Channel Attribution: How DSP, SP, and SD Work Together

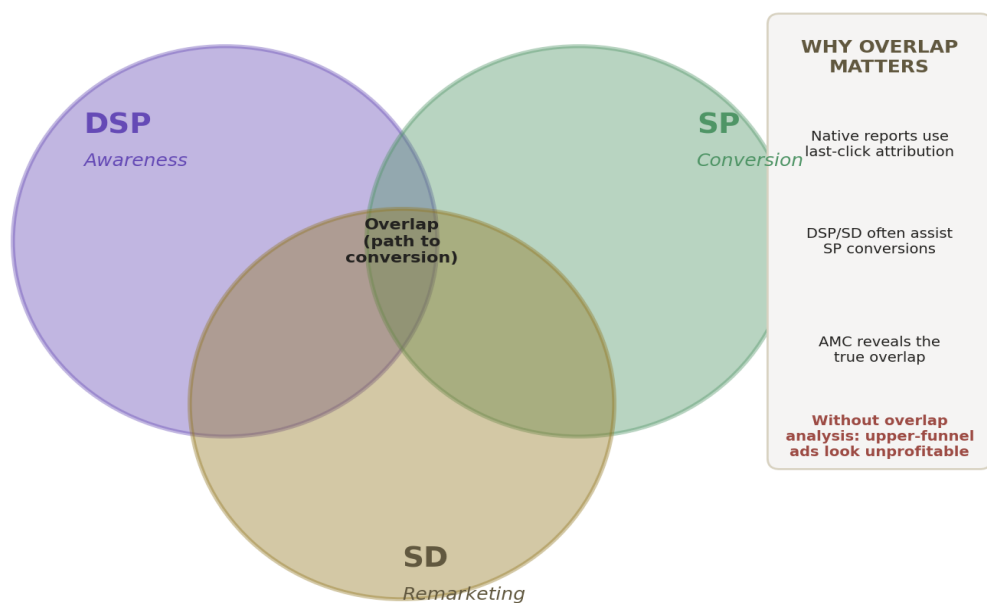


Figure C.1: Cross-Channel Attribution — DSP, SP, and SD overlap. Native reports use last-click attribution, which misses the assist role of DSP/SD. AMC reveals the true overlap. Without overlap analysis, upper-funnel ads look unprofitable when they're actually assisting SP conversions.

C.1 Full-Funnel Orchestration

Funnel Stage	Ad Type	Job	KPI
Awareness	DSP OTT, SD lifestyle	Reach new shoppers	Impressions, reach, NTB%
Consideration	SP Auto/Broad, SB, SD remarketing	Capture intent	CTR, CVR, CPC
Conversion	SP Exact, Brand Defense	Close the sale	ACOS, ROAS
Retention	SD purchases remarketing, DSP retargeting	Repeat purchase	Repeat rate, LTV

C.2 Amazon Marketing Cloud (AMC)

AMC is Amazon's data clean room - it gives advertisers SQL access to shopper-level data they can't see anywhere else. AMC shows how SD display ads assisted SP conversions, or how DSP video ads drove brand searches later converted by SP. This is the only way to measure true cross-channel synergy on Amazon. Requires Brand Registry + ~\$50K annual spend + managed service enablement.

EXAMPLE

Query: 'Shoppers who saw SD ad in week 1, didn't click, but converted via SP in week 2.' Result: 340 shoppers, \$12,400 in sales. Native reports would attribute these to SP alone, missing SD's assist. Adjust SD budget up.

C.3 DSP + Sponsored Ads Budget Split

Brand Stage	SP	SB	SD	DSP	Total Monthly
Year 1 (no DSP)	70%	20%	10%	0%	\$5K-\$30K
Year 2-3	50%	20%	20%	10%	\$30K-\$100K
Mature	35%	15%	25%	25%	\$100K+

STRATEGY

Don't add DSP until SP foundation is profitable. DSP is upper-funnel and won't convert without SP to close the sale. Typical sequence: Month 1-6 = SP only. Month 6-12 = add SB, SD. Year 2+ = consider DSP. Premature DSP = wasted budget.

D Appendix D: Glossary & Acronyms

Quick reference for every term and acronym used in this handbook. Use this section as a lookup, not a read-through.

A+ Content: Enhanced product description with images, charts, brand story. Lifts CVR 5-15%.

ACOS: Advertising Cost of Sale. Ad spend / ad sales.

Ad Group: Subdivision of a campaign containing ads and keywords. Sets default bid.

AMC: Amazon Marketing Cloud. SQL-based clean room for cross-channel analysis.

ASIN: Amazon Standard Identification Number. 10-char product identifier.

Attribution window: Time after ad click/view during which sales are attributed. SP/SB: 14d click. SD: 14d click + 1d view.

Auto campaign: SP campaign where Amazon picks targets based on listing content.

Bid: Maximum amount you're willing to pay per click.

Bid modifier: Adjustment to base bid for specific placements (TOS, PDP). Up to 900%.

Brand Analytics: Free reporting suite for Brand Registry sellers.

Brand Registry: Program requiring active trademark. Unlocks SB, SD, Brand Store, A+.

Brand Store: Multi-page mini-website on Amazon for your brand.

Break-even ACOS: Max ACOS before losing money: (price - variable costs) / price.

Broad match: Loosest match type. Triggers for keyword in any order plus related terms.

Bulk Operations: Excel-based mass edit tool for campaigns and keywords.

Buy Box: White Add to Cart box on product page. Required for SP.

Campaign: Top-level ad unit. Sets budget, bidding strategy, dates.

Category Approval: Required for restricted categories (supplements, CBD, baby, etc.).

CPC: Cost Per Click. Spend / clicks.

CTR: Click-Through Rate. Clicks / impressions.

CVR: Conversion Rate. Orders / clicks.

Cannibalization: Same keyword bidded in multiple campaigns, causing self-competition.

Clean room: Secure environment for joining data sets without exposing individuals.

Conquesting: Bidding on competitor brand terms and ASINs.

Dayparting: Adjusting bids by time of day. Not natively supported.

Defense campaign: Campaign targeting your own brand terms.

DSP: Demand Side Platform. Programmatic ad buying.

Dynamic bids down only: Amazon lowers bid up to 100% for poor placements. Safe default.

Dynamic bids up and down: Amazon raises bid up to 100% for TOS. Use with CVR history only.

Exact match: Tightest match type. Triggers only for keyword alone.

Fixed bids: Bidding strategy using exact bid with no adjustments.

Flywheel: Self-reinforcing loop: ads -> sales -> rank -> more sales.

Funnel stage: Where campaign sits: Awareness, Consideration, Conversion.

Halo effect: Indirect sales lift from advertising.

Impressions: Number of times your ad was shown.

In-market audience: Shoppers actively researching a category.

Lifestyle audience: Shoppers whose purchase history suggests a lifestyle.

Lightning Deal: 4-6 hour limited-time deal.

Lookalike audience: Amazon-built audience similar to your seed.

Managed Service DSP: DSP access model where Amazon runs campaigns. ~\$35K/mo min.

Negative Exact: Blocks ad for that exact search term only.

Negative Phrase: Blocks any search containing the phrase.

New-to-brand (NTB): Orders from first-time brand buyers in last 12 months.

ODR: Order Defect Rate. >1% triggers suspension risk.

Phrase match: Middle match type. Triggers for keyword in exact order with words before/after.

Placement: Where ad appears: TOS, ROS, or PDP.

Portfolio: Grouping of campaigns for budget caps and reporting.

PPC: Pay-Per-Click advertising.

Prime Day: Amazon's annual 2-day sale (usually July). 3-5x baseline traffic.

ROAS: Return on Ad Spend. $\text{Ad sales} / \text{ad spend} = 1/\text{ACOS}$.

Remarketing: Showing ads to shoppers who interacted with your brand.

SB: Sponsored Brands. Top-of-search ads with brand logo.

SD: Sponsored Display. Display network ads with audience targeting.

Search Term Report: Native report showing actual shopper search queries.

Second-price auction: You pay one cent more than next highest bidder.

Self-Service DSP: DSP access model where you run campaigns yourself.

SKAG: Single Keyword Ad Group. One keyword per ad group.

SP: Sponsored Products. Main Amazon ad type.

SQP: Search Query Performance. Brand Analytics report.

STV: Sponsored TV. Video ads on Prime Video, Freevee, Twitch.

TACOS: Total ACOS. $\text{Ad spend} / \text{total sales (ad + organic)}$.

TOS: Top of Search. Positions 1-4 on page 1.

TOS modifier: Placement modifier boosting bids for TOS. Up to 900%.

E Appendix E: Formulas & Calculators

Every formula you need in one place. Each formula includes a worked example so you can see how to apply it.

Break-even ACOS

FORMULA

$$(\text{Price} - \text{COGS} - \text{Amazon fees} - \text{shipping} - \text{other variable}) / \text{Price}$$

EXAMPLE

Product \$29.99, COGS \$9, fees \$8.50, shipping \$1.50, other \$0.50. Break-even ACOS = $(\$29.99 - \$19.50) / \$29.99 = 35\%$.

Target ACOS Bid

FORMULA

$$\text{Price} \times \text{CVR} \times (1 - \text{Target ACOS})$$

EXAMPLE

Price \$29.99, CVR 12%, Target ACOS 25%. Bid = $\$29.99 \times 0.12 \times 0.75 = \2.70 .

Break-even Bid

FORMULA

$$\text{Price} \times \text{CVR} \times (1 - \text{COGS\%} - \text{target margin\%})$$

EXAMPLE

Price \$29.99, CVR 12%, COGS 35%, target margin 20%. Bid = $\$29.99 \times 0.12 \times 0.45 = \1.62 .

TACOS

FORMULA

Ad Spend / Total Sales (ad + organic)

EXAMPLE

\$5K spend, \$25K ad sales, \$40K organic. TACOS = $\$5K / \$65K = 7.7\%$.

ACOS

FORMULA

Ad Spend / Ad Sales

EXAMPLE

\$5K spend, \$25K ad sales. ACOS = 20%.

ROAS

FORMULA

Ad Sales / Ad Spend = $1 / \text{ACOS}$

EXAMPLE

\$25K sales / \$5K spend = 5x ROAS (= 20% ACOS).

CPC

FORMULA

Spend / Clicks

EXAMPLE

\$100 spend, 80 clicks. CPC = \$1.25.

CTR

FORMULA

Clicks / Impressions

EXAMPLE

50 clicks, 5000 impressions. CTR = 1.0%.

CVR**FORMULA**

Orders / Clicks

EXAMPLE

8 orders, 80 clicks. CVR = 10%.

Portfolio Daily Cap**FORMULA**

$(\text{Monthly budget} / 30) \times 1.1$

EXAMPLE

\$3K monthly. Cap = $(\$3K / 30) \times 1.1 = \$110/\text{day}$.

Harvesting Thresholds**FORMULA**

Orders ≥ 2 AND ACOS $< 30\%$ AND CVR $> 8\%$ AND clicks ≥ 20

EXAMPLE

35 clicks, 5 orders, \$14 spend, \$145 sales. CVR 14.3%, ACOS 9.7%. Harvest!

Effective Bid with Placement Modifier**FORMULA**

Base bid $\times (1 + \text{modifier}\%)$

EXAMPLE

\$1.00 bid, +50% TOS modifier. Effective TOS bid = \$1.50.

F Appendix F: Cheat Sheets

Print these one-page cheat sheets and tape them to your monitor. They cover the most-referenced information in daily PPC work.

F.1 Daily Optimization Checklist

- Check budget pacing on top 5 campaigns (5 min)
- Pause campaigns that ran out of budget before day end (2 min)
- Scan for anomalies: ACOS spikes, sudden spend drops (3 min)
- Check Buy Box status on top 20 SKUs (5 min)
- Document any changes in changelog (5 min)

F.2 Weekly Optimization Checklist

- Pull Search Term Report and sort by spend (5 min)
- Adjust bids on top 20 keywords by spend based on ACOS vs target (20 min)
- Identify wasted-spend terms (0 orders, 10+ clicks, irrelevant) and add as negatives (15 min)
- Identify harvested candidates (2+ orders, ACOS <30%, CVR >8%, 20+ clicks) (10 min)
- Promote harvested terms to Exact + add as negative in source (10 min)
- Check budget pacing and raise budgets on budget-starved performers (10 min)
- Update changelog with all changes (10 min)
- Send weekly summary to Strategist (10 min)

F.3 Naming Convention Quick Reference

STANDARD NAMING

BrandLine-MatchType-Purpose-YYYY

Examples:

- YogaMat-Premium-Exact-Defense-2024
- YogaMat-Substitutes-Auto-Discovery-2024
- YogaMat-Brand-SB-Awareness-2024
- Headphones-Competitors-ASIN-Conquest-2024

F.4 Harvesting Thresholds Quick Card

HARVEST WHEN ALL FOUR ARE TRUE

1. 2+ orders in last 30 days
2. ACOS below 30%
3. CVR above 8%
4. 20+ clicks accumulated

Starting Exact bid = source CPC x 1.20

Negative-out: add term as Negative Exact in source campaign same day

F.5 Statistical Significance Quick Card

BEFORE ADJUSTING ANY BID

Wait for at least ONE of:

- 30+ clicks on the keyword
- 3+ conversions on the keyword

Below these thresholds, performance data is statistical noise.
Adjusting now is gambling, not optimizing.

F.6 Prime Day Scaling Quick Card

PRIME DAY TIMELINE

T-14 days: Budget 1.5x, bids +10%

T-7 days: Budget 2x, bids +20%

T-1 day: Budget 3x, bids +30%

Day 0-1 (event): Budget 4-5x, monitor hourly

T+1 to T+3: Budget 1.5x, bids back to baseline

T+4 to T+7: Budget 1.2x

T+8: Return to baseline

F.7 Troubleshooting Quick Card

Symptom	First Check	Likely Cause
Ads stop spending	Buy Box status	Lost Buy Box (60% of cases)
ACOS spikes	Competitor activity, seasonality	New competitor or event
CPC climbing	Auction insights, competitor pricing	New entrant or bid war
TOS share low	Bid level vs suggested	Bid too low for TOS auction
Budget runs out by noon	Lost impression share, ACOS vs target	Budget-starved high performer
No impressions	Bid level, Buy Box	Bid below threshold or Buy Box lost
CVR dropping	Listing quality, review velocity	Negative review, stockout, competitor

CLOSING NOTE

You've reached the end of the Student Handbook. The concepts here compound - read it once, work on a real account for 3 months, then re-read it. You'll see things you missed the first time. PPC mastery is a 2-3 year journey; this handbook is the foundation. Now go execute.